

Structural Challenges in US Foreign Assistance: Aid Volatility and Geopolitical Influences

FOREWORD

This document was produced by the [ReadingMachine framework](#). ReadingMachine is designed to generate a high-coverage, structured, traceable mapping of a defined document corpus, organized around a specified set of research questions. The output should be read as a corpus reading, not as an argument, position paper, or normative assessment. The system does not determine what is important, correct, or true. It represents what is present in the corpus under the specified research questions.

The paper is written with each research question handled stand-alone. This allows any reader to pick up and read on any question they are specifically interested in. The cost of this feature is some repetition across sections/research questions.

ReadingMachine operates as a tightly bounded reader. It does not independently determine research questions, define the scope of inquiry, or evaluate the importance or correctness of claims. Reasoning steps—such as the formulation of motivating questions, the definition of the corpus, and the interpretive goals of the analysis—lie with the user. The role of ReadingMachine is to execute a structured reading of the material it is given, according to those externally specified parameters.

For this reason, it is important to state explicitly the research questions that motivated this reading and the process by which the corpus was constructed. These elements define the analytical boundaries within which ReadingMachine operates and, correspondingly, the scope of what this output can be expected to represent.

Readers interested in the underlying methodology, design assumptions, and known trade-offs should consult the accompanying [whitepaper](#).

Note because the research focused explicitly on historical evolution, the standard ReadingMachine methodology was modified. During insight extraction, each insight was also assigned to the historical period to which it referred. This temporal metadata was then incorporated into the insight representation prior to clustering, allowing temporal distinctions to contribute to thematic organization. Insights for which no period could be confidently identified were excluded from this historical analysis.

Research Questions

The research questions guiding this reading were developed by Oxfam through formal research processes, including the development of a Terms of Reference. They are reproduced here for transparency:

1. What underlying structural features (the conceptual framings, and the institutional arrangements through which they are operationalized) of the US foreign assistance system limited or undermined poverty reduction, reduced suffering, accountable governance, gender equality, or local leadership, and how did they shape or relate to the distribution of decision-making authority, control over resources, and agenda-setting power in ways that contributed to these outcomes?
2. What underlying structural features (the conceptual framings, and the institutional arrangements through which they are operationalized) of the US foreign assistance system enabled or strengthened efforts at poverty reduction, reduced suffering, accountable governance, gender equality, or local leadership, and how did they shape or relate to the distribution of decision-making authority, control over resources, and agenda-setting power in ways that supported these outcomes?
3. How have the dominant structural features (conceptual framings, and operational and institutional forms) been embedded in, transmitted through, or transformed by wider aid institutions, and with what consequences for the distribution of decision-making authority, control over resources, and agenda-setting power, as well as for system outcomes?
4. How and why has political economy of the US foreign assistance system changed over the following overlapping historical periods:
 - a. post world war II reconstruction, development and decolonization
 - b. Cold war developmentism
 - c. Structural adjustment and the debt crisis
 - d. post 1990 liberal internationalism and governance
 - e. post 9/11 securitization
 - f. post 2015 sustainable development

“Political economy” is understood broadly to include a wide range of political concerns and economic interests such that the motivations for the structure of the aid system are the object of analysis.

Analytical frame

The analytical frame serves as the conceptual lens through which relevance is determined during insight extraction and subsequent synthesis. It does not determine the conclusions of the review, but defines what kinds of claims are considered relevant to the research questions and how structural features are interpreted during corpus reading. The framing is as follows:

This review is motivated by a desire to understand the structural features of US foreign assistance that have either enabled or undermined the goals of the foreign assistance system. The intention behind the review is to inform

the structural architecture of a future foreign assistance system by identifying and advancing those structures that most effectively supported the goals of foreign assistance, while avoiding those that undermined them.

We recognize that the goals of foreign assistance have shifted over time, and this review is not concerned with all goals historically pursued by the aid system. Rather, it focuses on goals that remain normatively important today: poverty reduction, reduced human suffering, accountable governance, gender equality, and local leadership. Other goals or imperatives — such as securitization, geopolitical competition, market expansion, or stabilization — are relevant where they shaped, constrained, or undermined pursuit of those normative goals that remain important today.

This review understands the US foreign assistance system as an institutional architecture composed of underlying conceptual framings and assumptions about development and humanitarian action. These framings structure and shape the design and operation of institutional forms—including organizational practices, governance structures, accountability systems, financing arrangements, knowledge systems, and partnership models—through which they are enacted in practice. These institutional forms shape the distribution of decision-making authority, control over resources, and agenda-setting power within the system. The analysis therefore focuses on how structural features give rise to these distributions of power, and how those distributions, in turn, affect the system's ability to achieve its stated goals.

The analytic framework for this work is as follows:

- 'Structural features' are manifest at multiple levels.
- The primary level is conceptual framings and assumptions about development and humanitarian action (e.g., racialized, gendered, colonial, geopolitical, economic, technocratic, etc.).
- These framings shape subsequent levels via the design and operation of institutional forms, including (non-exhaustively) governance structures, financing arrangements, accountability systems, knowledge systems, partnership models, and organizational practices.
- These institutional forms give rise to further structural levels that shape the distribution of power within the system, expressed as (non-exhaustively) decision-making authority, control over resources, and agenda-setting capacity.
- Similar distributions of power may persist across different historical periods even when institutional forms change, "where underlying structural framings remain stable.

We expect the articulation of different levels of structures to appear independently in the text. Not every structural level will be described in relation to those above and below it. Different authors and different passages will independently talk about 'structures' and invoke different levels.

Insight extraction should adopt this conceptual framing when determining whether any claim in the corpus is relevant to the questions posed below.

The examples used above are illustrative and non-exhaustive, they should not prefigure or bias insight extraction.

Corpus Construction

The corpus underlying this output was constructed using the getlit module of ReadingMachine. Corpus construction involved a combination of automated retrieval and human judgment, following these steps:

- Generation of search terms for each research question using an LLM
- Execution of those searches across OpenAlex and Crossref
- Initial ranking and selection of results by relevance
- Supplementary identification of salient grey literature using OpenAI's o3-deep-research model
- Automated deduplication with manual checks
- Final check of the proposed corpus for obviously missing canonical works, supported by OpenAI's o3-deep-research model
- Manual removal of clearly low-salience or out-of-scope titles
- Acquisition of full texts where institutional access permitted

This process was augmented by a deliberate search for the work of critical scholars considering this issue. This is done to address Oxfam's commitments in its research and analytical work to matters of feminism, decoloniality, anti-racism. The corpus was further augmented by a deliberate search for institutional reports relevant to Oxfam due to having been produced by Oxfam or peer organizations. This is done to ensure that the analysis reflects the views of the operational humanitarian the sector.

Together this process was intended to balance breadth, relevance, feasibility and institutional commitments, while maintaining explicit boundaries around what constitutes "the corpus" for this analysis.

The final corpus contained 282 documents including academic papers, webpages, institutional reports (some long form - ~400 pages) and books. After ingestion, and insight retrieval, this was whittled down to 246 documents. Together these generated 22,464 insights across the corpus.

The final corpus used in this run is available here: https://github.com/morrisseyj/ReadingMachine/blob/main/evaluation/industrial_policy_main_run/corpus.md and as a reference list at the end of the paper.

Every part of this paper was generated by the system, save for this foreword and the final reference list.

EXECUTIVE SUMMARY

The US foreign assistance system is characterized by several cross-cutting themes that influence its effectiveness in achieving development goals such as poverty reduction, accountable governance, gender equality, and local leadership. Aid volatility is a significant barrier, creating uncertainty in resource allocation and policy setting, which undermines institutional development in recipient countries. This unpredictability fosters environments conducive to corruption and reduces government accountability, particularly in aid-dependent countries. Donor-driven agendas further complicate the landscape by prioritizing donor interests over recipient needs, leading to misalignment with local priorities and undermining local leadership and governance. Bureaucratic inefficiencies, characterized by fragmentation and high transaction costs, further hinder the system's responsiveness and effectiveness.

Geopolitical influences play a crucial role in shaping aid distribution, often prioritizing strategic alliances and security concerns over developmental goals. This focus on geopolitical interests results in aid being used as a tool for political influence, reinforcing alliances rather than addressing poverty or promoting accountable governance. The integration of USAID into the State Department and the increasing role of the Department of Defense in aid-giving have centralized decision-making authority, shifting the focus from long-term development goals to short-term diplomatic and security objectives.

The literature highlights notable divergences in aid effectiveness across different regions and sectors. For instance, the structural constraints in Small Island Developing States (SIDS) limit their ability to reduce poverty and suffering due to small revenue bases and high exposure to exogenous shocks. Similarly, the emphasis on donor-defined priorities often leads to a concentration of resources in areas that align with donor interests, rather than those most critical to local communities, exacerbating inequalities.

The implications of these structural features are profound. The volatility and unpredictability of aid flows create significant barriers to sustainable development and governance in recipient countries, highlighting the need for more stable and predictable aid mechanisms. The donor-driven agendas and bureaucratic inefficiencies perpetuate power imbalances and limit the autonomy and effectiveness of local movements and organizations. Geopolitical influences further skew aid distribution, undermining efforts towards poverty reduction, gender equality, and local leadership.

Addressing these challenges requires a shift towards more inclusive and participatory approaches that prioritize local voices and leadership in the design and implementation of aid programs. The localization agenda, which aims to reform direct funding systems to make funding more accessible to local humanitarian actors, is one such approach that requires intentional and sustained engagement with local actors. However, the lack of consensus and definitional clarity on 'localization' in humanitarian aid makes it challenging to operationalize, measure, and assess progress, which helps maintain the status quo.

Overall, the US foreign assistance system's structural features, characterized by aid volatility, donor-driven agendas, bureaucratic inefficiencies, and geopolitical influences, create a complex and often challenging environment for achieving development goals. These features highlight the need for comprehensive reform to enhance the system's effectiveness in supporting sustainable development and governance outcomes.

What underlying structural features (the conceptual framings, and the institutional arrangements through which they are operationalized) of the US foreign assistance system limited or undermined poverty reduction, reduced suffering, accountable governance, gender equality, or local leadership, and how did they shape or relate to the distribution of decision-making authority, control over resources, and agenda-setting power in ways that contributed to these outcomes?

Question Overview

The US foreign assistance system is characterized by several structural features that limit its effectiveness in achieving poverty reduction, accountable governance, gender equality, and local leadership. Aid volatility creates fiscal instability and fosters environments conducive to corruption, undermining long-term development strategies. Donor-driven agendas prioritize donor interests over local needs, diminishing local leadership and governance. Bureaucratic inefficiencies, including fragmentation and high transaction costs, reduce aid effectiveness and responsiveness. Geopolitical influences prioritize strategic alliances over developmental goals, affecting resource distribution and decision-making authority. Conflicts between donor priorities and local needs further undermine local governance. Misalignment of donor priorities with local needs leads to ineffective interventions, while conditionalities and external norms constrain policy autonomy and reinforce dependency. Neoliberal policies and structural adjustment programs exacerbate inequality and limit fiscal space for essential services. Racial and gender biases embedded in institutional arrangements perpetuate existing inequalities, undermining efforts towards gender equality and local leadership.

Aid Volatility

The volatility inherent in the US foreign assistance system significantly hampers institutional development in recipient countries by introducing uncertainty into resource allocation and policy formulation. This unpredictability complicates fiscal planning and disrupts long-term development strategies, leading to fiscal and monetary instability (Iannantuoni 2025; Hudson 2015). As a result, recipient governments are often compelled to resort to short-term financial solutions, such as domestic borrowing, which exacerbates debt distress and constrains investment in public services (Iannantuoni 2025; Hudson 2015). This instability is particularly acute in countries heavily dependent on aid, where the volatility of aid flows surpasses that of domestic revenue, further complicating macroeconomic management (Iannantuoni 2025; Hudson 2015).

The structural unpredictability of aid also creates environments conducive to corruption and diminishes government accountability. The lack of reliable aid flows incentivizes rent-seeking behaviors and entrenches narrow distributions of political power, as governments become less motivated to invest in institutional quality (Iannantuoni 2025; Hudson 2015). This situation is exacerbated by frequent shifts in funding priorities, which can undermine consistent support for critical sectors such as health and education, thereby adversely affecting poverty reduction and governance outcomes (Hudson 2015; Iannantuoni 2025).

Moreover, the reliance on a limited number of donors heightens the vulnerability of recipient countries to aid volatility. This concentration of funding sources means that any changes in donor priorities or economic conditions can have disproportionate impacts, leading to sudden aid shortfalls or windfalls that disrupt fiscal stability and planning (Iannantuoni 2025; Hudson 2015). The unpredictability of aid flows also complicates coordination with non-governmental organizations and civil society, further hindering effective resource mobilization and allocation (Iannantuoni 2025).

The closure of the United States Agency for International Development (USAID) in 2025 and significant reductions in official development assistance (ODA) budgets have shifted global discussions from 'peak aid' to 'post-aid,' underscoring the precariousness of the current operating environment for development agencies (Calleja et al. 2026). This shift has intensified the challenges of aid volatility, as evidenced by the Global Fund's reliance on a grants-based cash-in, cash-out model, which leaves it vulnerable to shifting political winds in key donor countries (Keller et al. 2025). The Trump Administration's proposed cap on US contributions to the Global Fund further constrains financing for health initiatives if other donors do not contribute sufficiently (Keller et al. 2025).

The unpredictability and volatility of aid flows have also led to significant reductions in development assistance for health (DAH), with major cuts announced, particularly affecting health systems in low-income countries and those facing fragility, conflict, or violence (Coulibaly et al. 2026). This reduction in DAH is expected to increase out-of-pocket payments, which is regressive and discourages service use, reducing financial protection for

low-income and vulnerable groups (Coulibaly et al. 2026). The decline in support for global development raises concerns about the ability of local actors and leaders to maintain resources and capabilities, as confidence and trust in the U.S. as a dependable ally is eroding (Ingram et al. 2025).

Overall, the volatility and unpredictability of aid flows within the US foreign assistance system create significant barriers to sustainable development and governance in recipient countries, underscoring the need for more stable and predictable aid mechanisms to support long-term institutional development and poverty reduction efforts (Iannantuoni 2025; Hudson 2015). The structural constraints in Small Island Developing States (SIDS), including small revenue bases, high exposure to exogenous shocks, and chronic volatility in public finances, further limit their ability to reduce poverty and suffering (Panwar et al. 2026).

Donor-Driven Agendas

The US foreign assistance system's donor-driven agendas prioritize the interests of donors over the needs of recipient countries, leading to a significant misalignment with local priorities and undermining local leadership and governance structures. This misalignment is evident across various historical contexts, such as the post-1990 era of liberal internationalism, the post-9/11 focus on securitization, and the post-2015 sustainable development goals. In these contexts, donor priorities often dictate resource allocation and decision-making authority, sidelining local actors and diminishing their leadership capacity (OECD 2021; Cichocka et al. 2025; Slim 2021). The emphasis on donor-defined 'value for money' and cost-efficiency can undermine recipient ownership, particularly when interventions do not align with local priorities (Cichocka et al. 2025; Keller et al. 2025). Furthermore, the reliance on government-centric aid delivery models often neglects crisis-affected communities, especially in fragile settings, exacerbating the risk of conflict and undermining local governance (International Rescue Committee 2026_3; Morris et al. 2023).

The structural features of donor-driven agendas are also evident in the selection of implementing partners and the degree of intermediation, which can undermine long-term institution-building and sustainable development capacity (Cichocka et al. 2025; Pearson et al. 2025). The focus on donor interests and shifting political support for development objectives limit opportunities for alignment with partner priorities, thereby undermining ownership and locally driven action (Cichocka et al. 2025; Dhanani et al. 2026). Additionally, the use of international experts and the bypassing of local systems in favor of donor-controlled mechanisms further restrict local leadership and accountability (Rose et al. 2016; Ahmad et al. 2016).

The competitive environment fostered by donor-driven funding models often leads organizations to prioritize donor-friendly projects over grassroots innovation, creating a stratified ecosystem that favors established organizations and marginalizes emerging

networks (Dhanani et al. 2026; Pearson et al. 2025). This environment not only fragments local movements but also reinforces colonial legacies and external power dynamics, limiting the effectiveness of aid in achieving long-term development goals (Dhanani et al. 2026; Khan 2003). Ultimately, the structural features of donor-driven agendas perpetuate power imbalances and limit the autonomy and effectiveness of local movements and organizations, undermining efforts towards poverty reduction, gender equality, and accountable governance (Khan 2003; Riddell 2008).

In the post-2015 sustainable development era, the US development agenda's focus on commercially viable projects that do not require perpetual US taxpayer support may limit efforts in poverty reduction and local leadership (Attridge et al. 2026). Provider-level incentives drive behavior at both the individual and institutional levels, which can limit or undermine effective foreign assistance (Calleja et al. 2026). The desire to uphold the 'ownership' principle by responding to partner demands can conflict with donor-driven cost-efficiency (Cichocka et al. 2025). Achieving genuine ownership in development cooperation requires sustained local engagement and cultural awareness, which can be challenging in highly centralized bureaucracies (Cichocka et al. 2025). Moreover, cuts to aid reduce access to essential services and increase the risk of conflict, particularly in fragile settings (International Rescue Committee 2026_3).

The prioritization of domestic interests and incentives to focus resources on national comparative advantages means that development offers could increasingly reflect provider priorities over partner countries, undermining local leadership (Cichocka et al. 2025). The potential for misalignment between visions of effectiveness that advance different interests may increase alongside political pressure to justify development spending to skeptical publics (Cichocka et al. 2025). The reintroduction of tied aid poses effectiveness challenges facing mutual interest directives (Cichocka et al. 2025). Additionally, the US efforts to compete with China's Belt & Road initiative have largely sidestepped partner governments and their financing needs, affecting the distribution of decision-making authority and control over resources (Morris et al. 2023). The administration's approach to international assistance includes seeking greater flexibility in how remaining aid dollars are spent, which could affect the distribution of decision-making authority and control over resources (Estes et al. 2026).

Bureaucratic Inefficiencies

Bureaucratic inefficiencies within the US foreign assistance system significantly impede its capacity to achieve key development objectives, including poverty reduction, accountable governance, gender equality, and the empowerment of local leadership (Adler-Nissen 2014; Ahmad 2015; Alesina et al. 2000; Arndt et al. 2010; Azfar et al. 1999; Banks et al. 2015; Barbalet 2018; Bardhan 2002; Barnett et al. 1999; Bate 2007; Baumol et al. 2007; Beh 2010; Bekker et al. 2018; Benatar et al. 2003; Besley et al. 2014; Brabant et al. 2021; Bridgetown Initiative n.d._1; Chambers 2014; Chris et al. 2026; Cichocka et al. 2025; Collier et al. 2002; Cotula 2009; Dasgupta et al. 2002; Deaton et al. 2016; Dhanani et al. 2026; Dibeh 2010;

Duffield 1997; Duffield 2001; Duffield 2012; Dunning et al. 2017; Easterly 2007_1; Easterly 2007_2; Endam Mbah et al. 2025; Engel et al. 2008; Escobar 2011; Estes et al. 2026; Eyben 2008; Eyben 2010; Ferguson 1994; Fernando 2015; Finkel et al. 2007; Foster et al. 2026; Garrett 2009; Gibson et al. 2005; Gingerich et al. 2015; Gulrajani 2022; Gupta et al. 2015; Gupta et al. 2016; Haldane et al. 2021; Hilhorst 2018; IRWIN 2024_1; IRWIN 2024_2; International Rescue Committee 2026_3; Irwin 2024_1; Irwin 2024_2; Irwin 2024_6; Jamison et al. 2013; Jensen 1993; Johnson-Freese et al. 2021; Kabeer 2015; Kinder 2011; Kioko 2023; Kouamou et al. 2008; Krueger 1990; Kumar et al. 2025; Lancaster et al. 2005; Landau et al. 2017; Leo 2013; Lundsgaarde 2014; MODERNIZING FOREIGN ASSISTANCE NETWORK 2025; Mandaville 2017; Martins 2009; McKechnie et al. 2012; Meara et al. 2015; Mearsheimer 2019; Meernik et al. 1998; Millenium Challenge Corporation n.d.; Moderning Foreign Assistance Network 2024; Moderning Foreign Assistance Network 2025; Morris et al. 2023; Moyo 2010; Mulder 2023; Narayanaswamy 2024; Norton 2011; OECD 2005; OECD 2009_2; Obrecht et al. 2025; Orr 1989; Ottersen et al. 2014; O'Donnell 2020; Panwar et al. 2026; Patel et al. 2018; Pearson et al. 2025; Ranis 2007; Riaao-Rodrriguez 2014; Riddell 2008; Risk 2004; Robillard et al. 2021; Rodrik 2004; Roepstorff 2020; Rose et al. 2016; Sabel et al. 2008; Sharma 2026; Smith 1990_1; Smith 1990_2; Sullivan 1996; Tarnoff 2018; Tosun 2000; Trebilcock 2005; Tuck et al. 2012; US Global Leadership Coalition 2025; USGLC 2021; Ullah et al. 2025; United Nations 2015; Van Tulder et al. 2018; Wall et al. 2016; Walt et al. 1994; Whiteside 2010; Woolcock et al. 2000; World Bank 1982; World Bank 1986; World Bank 1989; World Bank 1992; Wudil et al. 2023; Xu 2011; Zahariadis 2025). These inefficiencies manifest through fragmentation, high transaction costs, and complex reporting requirements, which collectively impose administrative burdens and diminish responsiveness (Lancaster 2008_2; Brainard 2007; Easterly et al. 2008; OECD 2012). Legislative bargaining and vote-buying exacerbate fragmentation by dispersing resources across multiple agencies and projects, leading to duplication and inefficiency (Carcelli 2024; Brainard 2007; Lancaster 2008_2). The proliferation of new aid agencies and initiatives without addressing foundational structural issues further contributes to a lack of coherence and coordination (Lancaster 2008_2; Brainard 2007).

High transaction costs are a consequence of the multiplicity of donors and the intricate web of transactions and parallel management systems that define the aid environment (Easterly et al. 2008; OECD 2012). These costs are further inflated by the extensive use of foreign consultants and donor-driven procedures, which mirror conditions required for debt relief and undermine local leadership and accountability (Bräutigam et al. 2004; OECD 2012). The reliance on external systems and the slow disbursement of funds, as evidenced by the Millennium Challenge Corporation's (MCC) compact disbursement rates, further hinder aid effectiveness (Lancaster 2008_2; Prizzon et al. 2026).

The US foreign assistance system's focus on compliance-driven approaches and complex reporting requirements often comes at the expense of programmatic effectiveness and local ownership (Natsios 2011; Ingram 2022). The emphasis on measurable outcomes and adherence to federal regulations skews priorities towards service delivery rather than

institution building and policy reform, undermining long-term development goals (Natsios 2011; Booth et al. 2008). This compliance culture is reinforced by the counter-bureaucracy, which imposes rigid management standards and metrics that are not always suitable for development contexts (Natsios 2011; Brainard 2007).

Centralized decision-making authority and inflexible program implementation further restrict the system's responsiveness to local needs and priorities (Lancaster 2008_2; Brainard 2007). The integration of USAID within the Department of State has led to excessive politicization of aid, aligning it with short-term foreign policy goals rather than long-term development objectives (Hindery et al. 2008; Brainard 2007). This centralization is compounded by the lack of coordination among US agencies, which often operate with overlapping mandates and conflicting objectives, creating confusion and inefficiency (Lancaster 2008_2; Brainard 2007).

Moreover, weaknesses in intervention design and data availability, particularly during the post-2015 sustainable development era, further limit the effectiveness of US foreign assistance interventions (OECD 2021). Evaluations should consider whether objectives have been operationalized in ways that reflect good practice, including assessing organizational capacity and the capability of implementing partners to respond to contextual changes (OECD 2021). Challenges to coherence arise between different types of public policy, levels of government, and stakeholders, which should be considered when evaluating coherence to understand where the intervention fits and its alignment with policies governing the wider context (OECD 2021). The lack of appropriate, informative, or disaggregated data can inhibit the measurement of the achievement of objectives, making it difficult to attribute causality and determine contributions (OECD 2021).

Internal bottlenecks such as capacity and skills gaps, siloed coordination, slow processes, and weak learning and results systems frequently determine whether agencies can respond coherently (Calleja et al. 2026). Staffing constraints and process burdens, such as frequent staff rotations and complex project approval standards, limit effectiveness (Calleja et al. 2026). Risk-averse cultures and limited managerial attention to knowledge and learning inhibit adaptive action (Calleja et al. 2026). Poor coordination with national development actors and external partners increases transaction costs and limits opportunities to leverage comparative advantages (Calleja et al. 2026).

During the post-9/11 securitization and post-2015 sustainable development periods, the US foreign assistance system's structural features, such as siloed funding and unintegrated workstreams, have limited its ability to address fragility effectively, undermining efforts at accountable governance and local leadership by narrowing the identification of challenges and delaying adaptive responses (Rose 2019). The lack of coordination between US foreign assistance and diplomatic engagement, coupled with intra-agency conflicts and a focus on US self-interest, has undermined efforts to influence elite incentives and support inclusive governance in fragile states, limiting the system's effectiveness in achieving long-term goals

like poverty reduction and accountable governance (Rose 2019).

The legislative environment also contributes to fragmentation and inefficiency. The relationship between the executive and legislative branches, particularly under divided party government, can lead to foreign aid fragmentation, which may undermine the goals of foreign assistance (Carcelli 2024). The complicated steps for passing foreign aid legislation and multiple veto players create a status quo bias that challenges agenda-setters, potentially undermining the goals of foreign assistance (Carcelli 2024). Party polarization increases the incidence of delegation, leading to inefficiencies in the legislative process and affecting the distribution of decision-making authority (Carcelli 2024). Weak congressional leadership leads to greater delegation to the executive, impacting the distribution of decision-making authority (Carcelli 2024).

Overall, the bureaucratic inefficiencies within the US foreign assistance system are deeply entrenched and multifaceted, requiring comprehensive reform to enhance its effectiveness in achieving development goals. Addressing these inefficiencies will necessitate a shift towards more coherent and coordinated aid delivery, reduced transaction costs, and a greater emphasis on local ownership and accountability. The system's current operating environment pressures agencies to deepen efficiency and refocus limited resources, which may undermine effective practice due to unique challenges and constraints faced by each agency (Calleja et al. 2026). Furthermore, the structural reliance on intermediaries for aid delivery limits local leadership and decision-making authority, exacerbating the impact of aid cuts on local NGOs and communities (International Rescue Committee 2026_1). The persistence of complex procurement processes and donor-defined local entity criteria are structural features that limit the effectiveness of local leadership development by constraining local decision-making authority and control over resources (Ingram et al. 2025).

Geopolitical Influences

The US foreign assistance system is profoundly influenced by geopolitical interests, often prioritizing strategic alliances and security concerns over developmental objectives. This prioritization undermines efforts towards poverty reduction, accountable governance, and local leadership. Aid allocations frequently favor strategic allies such as Egypt and Israel due to their geopolitical significance rather than their developmental needs (Alesina et al. 2000; Lee 2022). Consequently, aid is often wielded as a tool for political influence, reinforcing alliances rather than addressing poverty or promoting accountable governance (Alesina et al. 2000; Lee 2022). The post-9/11 securitization of aid has entrenched this trend, with aid increasingly tied to national security objectives, such as counter-terrorism and military alliances, rather than developmental outcomes (Norton 2011; Mandaville 2017). This shift has led to a concentration of aid in strategically important regions, often at the expense of broader developmental goals like poverty reduction and gender equality (Norton 2011; Mandaville 2017).

The integration of USAID into the State Department and the increasing role of the Department of Defense in aid-giving have centralized decision-making authority in Washington, reducing the autonomy of development agencies and shifting the focus of aid from long-term development goals to short-term diplomatic and security objectives (Lancaster 2008_2; Bate 2007). The historical legacy of Cold War geopolitics continues to shape aid distribution, with former colonies and strategic allies receiving more aid regardless of their current governance or economic policies, perpetuating historical power dynamics and undermining efforts towards accountable governance and local leadership (Alesina et al. 2000; Sewell et al. 2017). The use of aid to reinforce political alliances, as seen in the alignment of aid with UN voting patterns, further affects the distribution of decision-making authority and control over resources, often at the expense of poverty reduction and equitable governance (Alesina et al. 2000).

Geopolitical tensions over control of resources critical for the energy transition risk subverting the trading system, impacting development efforts (Bridgetown Initiative n.d._2). The current financial system disproportionately benefits wealthier nations, evidenced by persistent net outflows from developing economies and concentration of decision-making power in institutions like the IMF, World Bank, and WTO, limiting the ability of V20 countries to address their needs (Bridgetown Initiative n.d._1). Representation of V20 countries in international financial institutions is inadequate, with only 6.7% of voting power at the IMF despite representing 21% of the global population, limiting their ability to deliver policies addressing climate vulnerabilities (Bridgetown Initiative n.d._1).

The decline of the donor-recipient model has led providers to pursue development for a combination of purposes, including advancing domestic interests and tackling global challenges (Calleja et al. 2026). Pressures to align development resource allocation with national interests reorient the goal of effective allocation from supporting the poorest to achieving domestic gains alongside development outcomes (Cichocka et al. 2025). The use of development resources to support domestic industries risks driving allocation towards domestic interests over partner needs (Cichocka et al. 2025). The erosion of public and political confidence in the value of development has amplified 'mutual interest' narratives, shifting towards more transactional views of development as a tool for strengthening foreign or commercial interests (Calleja et al. 2026).

The US Sovereign Loan Guarantee (SLG) program has been used primarily as a foreign policy instrument and has seldom been subjected to scrutiny as an instrument of economic and development policy (Morris et al. 2023). SLGs create contingent liabilities for the US government, exposing taxpayers to risk if the borrower defaults, which can limit resources available for other uses due to the subsidy cost set aside for each guarantee (Morris et al. 2023). The merger of Development Assistance and Economic Support Fund accounts into the National Security Investment Programs account may limit traditional bilateral economic assistance, potentially undermining poverty reduction and other normative goals (Estes et

al. 2026).

Overall, the structural features of the US foreign assistance system, characterized by a focus on geopolitical interests and security concerns, have led to a distribution of resources and decision-making authority that undermines normative goals like poverty reduction, gender equality, and local leadership, reinforcing a system that prioritizes strategic interests over developmental outcomes (Moghadam 2020; Riddell 2008). The growing influence of isolationist views and assistance 'fatigue' in donor countries further challenges US foreign assistance programs (Modernizing Foreign Assistance Network 2024). Additionally, the political structure and vested interests of ruling elites in developing countries often determine the strategies possible for economic and social change, where the main roadblocks lie, and how aid can be appropriated by ruling elites as a mechanism for political consolidation, sustaining patronage networks and suppressing dissent (Tosun 2000; Ullah et al. 2025).

The post-2015 sustainable development era has seen a shift towards a 'New World Disorder,' characterized by geopolitical competition and short-term alliances, leading to a fragmented aid system that prioritizes government-led delivery models, which often fail to reach crisis-affected communities, thereby undermining poverty reduction and local leadership (International Rescue Committee 2026_2). The reliance on grant-based ODA and the prioritization of funding for global challenges over direct humanitarian aid have increased vulnerability in conflict and climate-affected countries (International Rescue Committee 2026_1). Diplomatic disengagement in politically unrecognized regions further limits aid effectiveness and undermines efforts to promote international humanitarian law (International Rescue Committee 2026_1). The strategic reallocation of ODA towards geopolitical priorities and domestic resourcing needs, influenced by NATO's defense spending guidelines, has led to a disproportionate reduction in aid to lower- and moderate-income countries (Sabow et al. 2025). The concentration of ODA funding in specific sectors and donor sources, such as the US government's significant contribution to global health programs, creates vulnerabilities when funding is withdrawn (Sabow et al. 2025). The US foreign policy's reliance on militarism, economic sanctions, and selective treaty participation has perpetuated instability and gender inequality in regions like the Middle East (Moghadam 2020). The colonial matrix of power, as articulated by Quijano, systematically undermines goals like poverty reduction and accountable governance by embedding control over economy, authority, gender, sexuality, and knowledge, perpetuating a distribution of power that favors colonial and imperial interests over local leadership and equitable governance (Mignolo 2007). The rhetoric of modernity, intertwined with capitalism and coloniality, obscures oppressive structures that limit the effectiveness of foreign assistance in achieving poverty reduction and gender equality (Mignolo 2007). The international humanitarian aid system's top-down, internationally biased business model and the preservation of Western influence systematically undermine local leadership and self-determination (Slim 2021). The securitisation of development and the merging of security concerns with aid objectives have led to a centralization of authority

and control within the US foreign assistance system, undermining local leadership and accountable governance (Duffield 2001). The privatisation and marketisation of aid practices have resulted in the de-coupling of economic, social, and political authority from sovereign states, shifting decision-making authority and control over resources to metropolitan states and non-state actors (Duffield 2001). The fusion of development and security concerns in the new aid paradigm has led to selective intervention strategies that focus on managing symptoms of instability rather than addressing root causes (Duffield 1997). The alignment of USAID's activities with the State Department and the prioritization of western values in foreign policy have led to a focus on diplomatic concerns over program performance (Bate 2007). The allocation of funds to countries with geopolitical significance rather than those with strong institutional or human rights performance undermines the goals of poverty reduction and accountable governance (Bate 2007). USAID's focus on promoting American business interests and aligning with U.S. foreign policy goals, rather than fostering indigenous development, has limited its ability to achieve poverty reduction and local leadership in recipient countries (Sullivan 1996). The 'Putting America First' policy and the dismantling of USAID have historically been influenced by political imperatives that prioritize US geopolitical interests over normative goals (Duggan et al. 2025). The expansion of the US military and diplomatic presence during and after the Second World War inadvertently extended the government's humanitarian geography, enhancing its capacity for foreign disaster assistance but also centralizing control under the federal government (Irwin 2024_7). The restructuring of the American voluntary aid sector and the establishment of formal partnerships with the government during the Second World War era altered the dynamics of US foreign disaster aid, reducing the ARC's influence and potentially undermining local leadership and accountability (Irwin 2024_7). The US government's increased involvement in foreign assistance during the Second World War era, including the establishment of new agencies and legislation, shifted the focus towards military and economic aid, which may have undermined efforts towards poverty reduction and gender equality (Irwin 2024_7). The US foreign disaster assistance system's reliance on bilateral channels and tight control over aid distribution limited local leadership and decision-making authority, reinforcing power imbalances and undermining accountable governance (Irwin 2024_6). The conceptual framing of disasters as 'natural' events ignored underlying socioeconomic and political factors, leading to a focus on emergency response rather than prevention and preparedness (Irwin 2024_6). The US foreign assistance system during the late 1940s and early 1950s was heavily influenced by Cold War geopolitics, which led to a prioritization of diplomatic and strategic objectives over normative goals (IRWIN 2024_1). US foreign assistance efforts were often hampered by a lack of specific institutional focus on natural disasters, leading to ad hoc and inconsistent responses influenced more by political considerations than by humanitarian needs (IRWIN 2024_1). The reliance on entrenched mindsets and intuition in US foreign policy decision-making processes has historically limited rational decision-making and led to protracted conflicts (Hybel 2014). Presidents' reluctance to challenge predominant mindsets due to political repercussions has resulted in poorly defined international problems and limited the range of options considered (Hybel 2014). The interplay between Trump's leadership style and

the advisory system significantly influenced the degree of disruption in US foreign policy (Carati et al. 2025). Despite Trump's confrontational rhetoric, the structural influence of his advisory system often moderated these intentions, resulting in continuity rather than radical change (Carati et al. 2025). The competition for agenda space between foreign policy and other issues can lead to a focus on foreign policy at the expense of domestic issues like poverty reduction and accountable governance (Peake 2016). The media's agenda-setting power can influence the policy agenda and lead to shifts in focus that undermine efforts in areas like poverty reduction and gender equality (Peake 2016). The structural feature of US foreign aid that involves military aid rather than economic aid has a stronger agenda-setting effect, allowing recipient governments to benefit politically from the deployment of resources (Riaao-Rodrriguez 2014). The agenda-setting power of US foreign aid is enhanced when recipient governments have greater opportunities for political rent-seeking (Riaao-Rodrriguez 2014). The divergence in aid allocation strategies among US allies during the Cold War highlights a structural feature where geopolitical motives did not uniformly dictate foreign aid distribution (Lanati 2019). The U.S. and Japan's differing approaches to foreign aid in the 1980s have led to a clash of philosophies that affects the distribution of decision-making authority and control over resources (Orr 1989). The U.S. emphasis on conditionality and strategic rationale in foreign aid, contrasted with Japan's commercial and infrastructural focus, has shaped the distribution of agenda-setting power (Orr 1989). The structural feature of Japan's aid program, which ties aid to commercial interests and infrastructural projects, has led to a reliance on the private sector for implementation (Orr 1989). The securitization of development in regions like the Sahara has transformed development into a security discourse (Dalby 2017). The US foreign assistance system during the Cold War was heavily influenced by a strategic conflation of core and periphery interests (Sewell et al. 2017). The focus on integrating the Third World into core market economies during the Cold War prioritized economic interests over normative goals (Sewell et al. 2017). The US foreign assistance system's focus on geopolitical alignment and political influence, rather than developmental effectiveness, resulted in a distribution of aid that favored political objectives (Lee 2022). The focus on counter-terrorism post-9/11 distracted Western countries from addressing the shifting global economic power towards middle-income countries (Norton 2011). The US foreign assistance system's structural features, particularly its liberal peace framework, have historically been implicated in creating the very problems they aim to solve (Rampton et al. 2017).

Conflict

The theme of conflict within the US foreign assistance system is characterized by a persistent tension between donor-driven agendas and the empowerment of local leadership. Donor priorities frequently overshadow local needs, undermining governance and leadership by prioritizing strategic interests over the demands of partner countries. This misalignment limits the co-construction of development agendas and alignment with local priorities (Cichocka et al. 2025; Keller et al. 2025; Morris et al. 2023; Dunning et al. 2017; Ahmad 2015; Banks et al. 2015; Booth et al. 2008; McKechnie et al. 2012; Riddell 2008). The emphasis on cost-effectiveness and 'value for money' often results in

interventions that do not align with partner country priorities, thereby undermining local ownership (Cichocka et al. 2025; Mulder 2023).

Structural features such as hierarchical organizational cultures and bureaucratic procurement requirements create barriers to adaptive management and field-based decision-making, which are essential for genuine local ownership (Cichocka et al. 2025; Mulder 2023). The focus on donor accountability over partner-led engagement raises questions about the integration of effective practices (Cichocka et al. 2025). Additionally, legitimacy pressures and hierarchical structures within aid projects often result in symbolic rather than substantive legitimacy work, disconnecting project strategy from implementation and undermining local leadership (Mulder 2023).

The dominance of donor-driven funding models, particularly in gender-based violence initiatives, limits the autonomy and inclusivity of local movements (Dhanani et al. 2026; Cornwall et al. 2005; Kioko 2023). Furthermore, the instrumentalization of aid for political agendas, such as counterinsurgency or geopolitical interests, undermines local governance and leadership by influencing local political agendas in recipient countries, leading to a disconnect between aid objectives and local needs (Kinder 2011; Riaao-Rodrriguez 2014).

Cuts to aid, particularly post-2015, have reduced access to essential services like food, healthcare, and protection, severing livelihoods and governance support critical to maintaining stability and increasing the risk of conflict, especially in fragile settings (International Rescue Committee 2026_3; Garrett 2009; Ottersen et al. 2014). The gap between rhetorical commitments to internationally defined effectiveness norms and lackluster implementation further complicates efforts to achieve genuine local ownership and sustainable development (Cichocka et al. 2025; OECD 2021).

Political pressures to balance donor and partner country priorities, as seen in Korea's foreign policy objectives, constrain the ownership principle, exemplified by procurement requirements that follow donor systems rather than partner country procedures (Cichocka et al. 2025). This tension is further complicated by the need for donors to maintain visibility, which complicates assuming a 'silent' role and limits the effectiveness of collaborative mechanisms (OECD 2009_2).

The conflation of humanitarianism and humanitarian aid perpetuates a 'humanitarian industrial complex' that is complicit in harm and violence against those it seeks to help, illustrating the pathologies of humanitarian aid and its historical entanglements with colonialism and politics (Aloudat et al. 2022; Slim 2021). The Eurocentric, White savior view of humanitarian interventions limits efforts towards accountable governance and local leadership (Aloudat et al. 2022). Access to water resources is a source of conflict due to the absence of clear regulations or guidelines from the government on sustainable levels of water abstraction (Cotula 2009).

Overall, these conflicting perspectives highlight the complex interplay between donor-driven agendas and local leadership within the US foreign assistance system, underscoring the need for more adaptive, locally-led approaches that prioritize genuine engagement and cultural awareness to achieve sustainable development outcomes.

Misalignment of Donor Priorities

The misalignment between donor-defined priorities and local needs within the US foreign assistance system is a critical issue that undermines the effectiveness of aid interventions and local leadership. This misalignment often stems from insufficient local involvement in the design and implementation of aid programs, which are predominantly driven by donor agendas rather than the actual needs of recipient communities (OECD 2021; Bridgetown Initiative n.d._1). Consequently, interventions frequently fail to address the real-life priorities of local communities, as evidenced by the limited impact of aid on poverty reduction and local leadership (OECD 2021; Kumar et al. 2025). Donor-driven approaches tend to emphasize measurable outcomes and standardized frameworks, marginalizing local voices and limiting community ownership over problem definition and solution design (Dhanani et al. 2026; Ingram et al. 2025). This issue is exacerbated by structural features of the aid system, such as reliance on international intermediaries and the lack of direct funding to local actors, which restricts local decision-making authority and control over resources (Robillard et al. 2021; Pearson et al. 2025). The focus on donor-defined priorities often results in a concentration of resources in areas that align with donor interests rather than those most critical to local communities. For example, the distribution of adaptation funding by multilateral development banks (MDBs) frequently does not correlate with the highest climate vulnerabilities, undermining efforts to enhance resilience and reduce suffering (Bridgetown Initiative n.d._1). Similarly, the emphasis on private capital mobilization has led to limited investment in low-income countries, further exacerbating inequalities (Attridge et al. 2026).

Moreover, the structural features of the aid system, such as the use of project implementation units and the bypassing of local systems, undermine the sustainability of development efforts and reduce local ownership (Rose et al. 2016; Ahmad et al. 2016). The reliance on international technical assistance and professional training, rather than building local capacity, further limits the effectiveness of efforts to promote local leadership and accountable governance (Rose et al. 2016). The lack of proper processes to identify the needs of projects overall, as seen in health initiatives in Bolivia, leads to problems of relevance and consistency (OECD 2021). Additionally, the absence of ocean-equivalent mechanisms to REDD in climate and development financing is a serious omission, undermining efforts to support sustainable development and economic and ecosystem resilience (Bridgetown Initiative n.d._1).

The moral argument for aid, which frames Official Development Assistance (ODA) as altruistic and focused on poverty reduction and capacity building, has lost its potency among policymakers, potentially undermining these goals (Kumar et al. 2025). The

transactional narratives in ODA are seen as lacking long-term plausibility, with ODA unlikely to deliver tangible returns on investment (Kumar et al. 2025). Furthermore, the EU's migration narrative is not credible, as it is not based in evidence and migration-related aid has not delivered what it promised, undermining efforts to address root causes of migration (Kumar et al. 2025).

Overall, the misalignment of donor priorities with local needs reflects a broader issue of power imbalances within the aid system, where donor interests often take precedence over local priorities. This not only undermines the effectiveness of aid interventions but also perpetuates a cycle of dependency and limits the potential for sustainable, locally-led development (OECD 2021; Kumar et al. 2025). Addressing these challenges requires a shift towards more inclusive and participatory approaches that prioritize local voices and leadership in the design and implementation of aid programs. The localization agenda, which aims to reform direct funding systems to make funding more accessible to a diverse set of local humanitarian actors, is one such approach that requires intentional and sustained engagement with local actors (Robillard et al. 2021). However, the lack of consensus and definitional clarity on 'localization' in humanitarian aid makes it challenging to operationalize, measure, and assess progress, which helps maintain the status quo (Robillard et al. 2021).

The rights-based development discourse, which emerged during post-1990 liberal internationalism, highlights power dynamics in international development that can undermine efforts if not addressed (Cornwall et al. 2004). The rights-based approach often assumes donor superiority and fails to acknowledge the diverse strategies and institutions through which people claim rights outside formal legal frameworks (Cornwall et al. 2004). This approach can be patronizing, as it seeks empowerment through external pressure rather than genuine local engagement (Cornwall et al. 2004). Furthermore, the accountability of international NGOs is often fractured between their dependence on financial support from rich nation-states and their obligations to beneficiaries in developing countries (Cornwall et al. 2004). The geopolitical location of actors promoting a rights-based agenda raises concerns about the continuity of neo-colonial development practices (Cornwall et al. 2004). These critiques underscore the need for a more nuanced understanding of rights-based approaches that consider local contexts and power dynamics.

The Millennium Challenge Corporation (MCC) exemplifies how donor-driven priorities can limit local leadership and decision-making authority. MCC's institutional push to expedite compact development has affected the degree of country leadership in the constraints analysis process, and its decision-making authority can limit partner countries' influence, as MCC is the final arbiter in approving project proposals (Dunning et al. 2017). The requirement for stakeholder consultations often exceeds the standard practices of partner countries, which can limit local leadership and decision-making authority (Dunning et al. 2017). Additionally, MCC's strict five-year timeline for compact implementation can undermine capacity building and ownership by limiting the time available for learning and

for country counterparts to take the lead in solving implementation challenges (Dunning et al. 2017). The lack of a systematic framework for risk assessment within MCC leads to varying appetites for risk among mission leadership and personnel, which can further complicate local engagement and leadership (Dunning et al. 2017).

Conditionalities and External Norms

The imposition of donor-imposed conditionalities and external norms within the US foreign assistance system and other international aid frameworks significantly constrains the policy autonomy of recipient countries, reinforcing dependency and undermining local governance and leadership. These constraints manifest through various structural features, as evidenced by the prioritization of donor interests over local needs, leading to ineffective interventions and diminished recipient capacity (Adler-Nissen 2014; Ahmad 2015; Barnett et al. 1999; Baumol et al. 2007; Brainard 2007; Bräutigam et al. 2004; Clapp 2013; Dibeh 2010; Eyben 2008; Gibson et al. 2005; Hudson 2015; Kabeer 2015; Moyo 2010; Orr 1989; Riddell 2008; Simmons et al. 2004; Whiteside 2010). For instance, tied aid mandates that recipient countries spend aid on goods and services from the donor country, which increases costs and reduces aid effectiveness, thereby limiting the policy space available to recipient countries (Easterly et al. 2008; OECD 2009_2; Sullivan 1996). Additionally, restrictions on the use of Sovereign Loan Guarantee (SLG) proceeds, such as prohibitions on military expenditures, further limit local leadership and resource allocation flexibility (Morris et al. 2023).

Policy conditionalities associated with SLGs and multilateral development bank (MDB) loans complicate sovereign debt restructurings and limit local leadership by imposing non-economic conditions that are often unrelated to the fiscal policies of partner governments (Morris et al. 2023; Prizzon et al. 2026). These conditions frequently prioritize donor interests, such as adherence to geopolitical agendas, over local governance needs, thereby reinforcing dependency (Morris et al. 2023; Carcelli 2024). Structural adjustment programs and conditionalities imposed by institutions like the IMF and World Bank have historically constrained state policy choices, redirecting national priorities towards debt servicing and austerity measures that align with donor priorities rather than grassroots agendas (Dhanani et al. 2026; Ullah et al. 2025). These programs have been criticized for their social costs, including undermining poverty reduction efforts and exacerbating inequality (Walcher 2017; Khadka 1997).

The influence of external norms is also evident in trade and investment agreements, which often impose restrictions that limit the policy autonomy of developing countries (Kinder 2011; Lancaster 2008_2; Landau et al. 2017; Meernik et al. 1998; Mulder 2023; World Bank 1982; World Bank 1986; World Bank 1992). For example, the WTO's TRIPS Agreement and other intellectual property rules restrict technological capacity and access to essential medicines, thereby undermining health equity and poverty reduction efforts (Rodrik 2004; Ottersen et al. 2014). Similarly, bilateral investment treaties often prioritize investor protections over national policy goals, limiting the ability of host states to regulate in the

public interest (Cotula 2009; Ottersen et al. 2014). The EU's trade and agricultural subsidy policies have negatively impacted African local producers, illustrating the importance of policy coherence for development (Kumar et al. 2025).

Furthermore, the imposition of external norms and conditionalities can lead to political backlash and implementation failures, as they often lack contextual sensitivity and do not align with local governance structures (Ullah et al. 2025; Booth et al. 2008; Gupta et al. 2016; Irwin 2024_1; Tuck et al. 2012; Walt et al. 1994). This misalignment is exacerbated by the lack of transparency and accountability in the disbursement and management of aid, which further undermines local leadership and governance (OECD 2012; Banks et al. 2015). Transparency challenges persist, with many donors failing to publish full details of their conditions, making it unclear to what extent disbursements are conditional on specific provisions of aid agreements (OECD 2012).

Overall, the structural features of foreign aid, characterized by donor-imposed conditionalities and external norms, create cycles of dependency and limit the policy autonomy of recipient countries. These features prioritize donor interests over local needs, undermining efforts towards poverty reduction, accountable governance, and local leadership. The Global Gag Rule and other funding conditionalities, such as those related to reproductive health, further illustrate how aid can compromise local autonomy and gender justice (Dhanani et al. 2026; Garrett 2009). Additionally, the eligibility criteria for accessing certain funds, such as the PRGT, exclude climate-vulnerable countries with higher per capita incomes, highlighting the inequities in aid distribution (Bridgetown Initiative n.d._1).

Neoliberal Policies and Structural Adjustment

Neoliberal policies and structural adjustment programs have systematically prioritized economic liberalization over social welfare, resulting in increased inequality and undermining efforts to reduce poverty. These policies have imposed unsustainable debt burdens on developing countries, constraining their fiscal space and forcing them to allocate more resources to debt service rather than essential services like health and education (UN Summit for the Future 2024; Bridgetown Initiative n.d._2). The international financial architecture, characterized by high interest rates and inadequate debt sustainability frameworks, exacerbates these challenges, limiting countries' ability to invest in long-term development and climate resilience (Bridgetown Initiative 2025_2; Global Development Policy Center 2024). The debt crisis facing emerging market and developing economies (EMDEs) is deepening, with around a dozen countries in debt distress and nearly 60 more at risk, severely restricting their capacity to afford necessary investments for long-term prosperity (Bridgetown Initiative 2025_2).

The neoliberal emphasis on market-driven growth has often led to the neglect of social and environmental aspects, perpetuating income inequality and undermining efforts towards gender equality and local leadership (Gupta et al. 2015; Kabeer 2015). Structural adjustment programs have demanded fiscal austerity and privatization, weakening public

health systems and reducing access to essential services, disproportionately affecting vulnerable populations, including women and marginalized groups (Kentikelenis et al. 2015; True 2012). Critics argue that the neoliberal model fails to address the structural inequalities that sustain poverty and limit economic transformation (Eyben 2010; Cornwall et al. 2015).

Moreover, reliance on external credit ratings and the uniform application of financial regulations like Basel III have increased the cost of capital for developing countries, further limiting their ability to finance infrastructure and development projects (Bridgetown Initiative n.d._1). Economic liberalization has also eroded local leadership and accountability, concentrating decision-making authority and control over resources in the hands of international financial institutions and private sector actors (Mignolo 2007; Esteva et al. 1998). The lack of transparency and consistency in Credit Rating Agencies' methodologies undermines predictability for market participants and issuers, affecting decision-making authority and control over resources (Bridgetown Initiative n.d._2).

Neoliberal policies have also been linked to environmental degradation, as the global financial system remains largely unchanged, financing high-carbon industries and often penalizing countries for investing in adaptation and resilience (Bridgetown Initiative n.d._1). The current international financial system, including the Common Framework, falls short of addressing borrower needs in a timely manner, undermining countries' ability to finance their development and climate goals (Bridgetown Initiative n.d._2). The global average near-surface temperature was 1.45°C above the preindustrial baseline in 2023, with average temperatures temporarily breaching the critical 1.5°C threshold, impacting climate-vulnerable countries (Bridgetown Initiative n.d._2).

The Sustainable Development Goals (SDGs) have been critiqued for not addressing the logic of market-based economic growth, failing to safeguard public goods from privatization and securitization, and not ensuring downward accountability (Gupta et al. 2016). The emphasis on continuous growth creates perverse incentives for a throwaway materialistic society, undermining efforts towards poverty reduction and environmental sustainability (Gupta et al. 2016). Furthermore, the SDGs' focus on technology transfer and scientific solutions rather than redefining growth based on limited ecospace and enhancing human welfare may undermine poverty reduction and ecological sustainability (Gupta et al. 2016).

Decentralization is sometimes used as a synonym for privatization in international organizations pushing structural adjustment and transitional reform, which can further concentrate power and resources away from local communities (Bardhan 2002). The financial systems of many developing countries require restructuring due to past approaches that emphasized government intervention to promote economic growth, delaying necessary adjustments (World Bank 1989). Interest rate controls and inflation have caused excess demand for credit and forced financial institutions to ration lending, favoring borrowers who need the money least (World Bank 1989).

During the post-World War II reconstruction and subsequent periods, complex systems of producer taxation and ineffective subsidies for inputs have contributed to inefficiencies and lower output in agriculture, exacerbating poverty in rural areas (World Bank 1986). Protectionist policies that promote domestic industries behind high trade barriers have discriminated against agriculture by lowering its profitability compared to industry (World Bank 1986). Additionally, failure to adjust exchange rates during periods of rapid inflation has led to overvalued exchange rates, exacerbating discrimination against agriculture (World Bank 1986). These sectoral policies, along with inward-looking strategies that promote industrialization through protection to industry, have implicitly taxed agriculture, lowering its profitability and undermining poverty reduction (World Bank 1986).

In summary, neoliberal policies and structural adjustment programs have prioritized economic liberalization at the expense of social welfare, leading to increased inequality and undermining poverty reduction efforts. These policies have constrained fiscal space, weakened public services, and concentrated decision-making authority in international institutions, limiting the potential for sustainable development and local leadership. The transition from grants to investment as a model for development cooperation is driven by governments focusing on models that require less public funding, which may undermine efforts to address health priorities (Calleja et al. 2026; Keller et al. 2025).

Racial and Gender Biases

Racial and gender biases are deeply entrenched within the structural and institutional frameworks of U.S. foreign assistance, significantly influencing outcomes and often perpetuating existing inequalities (Ahmad 2015; Ahmad et al. 2016; Aloudat et al. 2022; Anderson 1999; Azfar et al. 1999; Banks et al. 2015; Barkawi et al. 2006; Batliwala 2007; Baumol et al. 2007; Bekker et al. 2018; Brabant et al. 2021; Brainard 2007; Bush et al. 2000; Chambers 2014; Cornwall et al. 2005; Cornwall et al. 2015; Cotula 2009; Dhanani et al. 2026; Duffield 1997; Duffield 2001; Edrees et al. 2015; Escobar 2011; Esteva et al. 2017; Eyben 2008; Eyben 2010; Fennell et al. 2008; Fisher-Onar et al. 2022; Fraser 2008; Garrett 2009; Gibson et al. 2005; Gingerich et al. 2015; Grown et al. 2025_1; Grown et al. 2025_2; IRWIN 2024_2; Irvine 2018; Irwin 2024_1; Irwin 2024_6; Johnson-Freese et al. 2021; Kioko 2023; LUGONES 2010; Maass 2023; Mignolo 2007; Moghadam 2020; Mulder 2023; OECD 2009_2; OECD 2012; Ottersen et al. 2015; O'Donnell 2020; Patel 2025; Pearson et al. 2025; Rampton et al. 2017; Roepstorff 2020; Sharma 2026; Slim 2021; True 2016; Tuck et al. 2012; United Nations 2015; United Nations General Assembly 2015; Van Eerdewijk et al. 2014; Wall et al. 2016; Woolcock et al. 2000; World Bank 1982; World Bank 1986; World Bank 1989; World Bank 1992; Zahariadis 2025). These biases shape decision-making authority, resource control, and agenda-setting power, thereby undermining efforts towards poverty reduction, gender equality, and local leadership (Sewell et al. 2017; Esteva et al. 1998; Kumar et al. 2025). Historically, U.S. foreign assistance has been influenced by racial and civilizational biases, which view non-Western regions as inferior, perpetuating a paternalistic approach that limits agency and leadership in these regions (Sewell et al. 2017;

Esteva et al. 1998; Kumar et al. 2025). Such biases prioritize Western norms over local needs, often sidelining broader gender equality goals in favor of technical solutions that do not challenge existing power dynamics (Lugones 2010; Narayanaswamy 2024; OECD 2023_1).

Gender biases are particularly entrenched, with interventions frequently failing to address the structural inequalities underpinning gender disparities. The focus on measurable outcomes reduces gender mainstreaming to a checkbox exercise, limiting its transformative potential (OECD 2023_1; Kabeer 2015; Roggeband et al. 2014). Intersectional biases further marginalize specific groups, such as women of color, who face compounded discrimination in accessing resources and decision-making spaces (Lugones 2010; Mohanty 2003; Cook et al. 2023). For instance, U.S. foreign aid cuts have led to the closure of essential services, disproportionately affecting women and girls and exacerbating gender inequalities (Women's Refugee Commission 2026; UN Women 2025).

Institutional arrangements within the U.S. foreign assistance system often exclude local voices and expertise, undermining localization efforts and equitable resource distribution. This exclusion is driven by underlying racial hierarchies and a lack of trust in local capacities (Robillard et al. 2021; Slim 2020). The dominance of Western-centric perspectives in decision-making processes further entrenches these biases, limiting the effectiveness of aid programs in achieving their stated goals (OECD 2023_1; True 2012). Moreover, the systemic nature of these biases calls for a fundamental rethinking of the conceptual and operational frameworks guiding U.S. foreign assistance. There is a need for more inclusive, context-sensitive approaches that genuinely empower marginalized communities and address the intersectional nature of racial and gender biases (Narayanaswamy 2024; Mohanty 2003; OECD 2021).

The impact of these biases is evident in the outcomes of foreign assistance programs, which frequently fail to achieve poverty reduction and gender equality. Instead, they often perpetuate existing inequalities, with interventions designed without sufficient consideration of local contexts and the complex interplay of race and gender (OECD 2023_1; True 2012). For example, the exclusion of women, youth, low-income communities, and other marginalized populations from climate leadership diminishes the overall effectiveness of climate policies (Siyal et al. 2025). Additionally, the abrupt and large-scale defunding of U.S. foreign assistance, particularly under the Trump Administration, has systematically undermined the structural capacity of organizations to address violence against women by disrupting funding flows, weakening institutional capacity, and emboldening anti-rights movements, thereby exacerbating gender inequality and reducing the effectiveness of violence prevention programs (Stern et al. 2026).

During post-1990 liberal internationalism and governance, the discourse in the Security Council, initiated by SC Resolution 1325 in 2000, shifted focus from women's participation in conflict management to their protection from sexual violence, reflecting a gender bias

that limits women's agency (Zwingel 2019). Furthermore, the UN Department of Peacekeeping Operations provides comprehensive data on sexual abuse allegations but does not specify the gender of perpetrators or victims, making the crime appear gender-neutral (Zwingel 2019). These examples illustrate how gender biases are operationalized in international governance structures, affecting the distribution of decision-making authority and control over resources.

The systemic biases in U.S. foreign assistance are further complicated by the potential for localization efforts to reinforce local power dynamics, unintentionally supporting local elites or those networked to capture USAID funds (Ingram 2022). Autocratic and polarized governments serve as barriers to local voice and marginalized segments of the population, undermining accountable governance (Ingram 2022). Additionally, the ethnocentric nature of U.S. management theories, which emphasize individualism and leader-centric decision-making, undermines local leadership and accountable governance in collectivist societies by failing to align with their cultural expectations and needs for group loyalty and protection (Hofstede 1983). These structural features highlight the need for a more nuanced understanding of how racial and gender biases are embedded in foreign assistance systems and their impact on global development outcomes.

What underlying structural features (the conceptual framings, and the institutional arrangements through which they are operationalized) of the US foreign assistance system enabled or strengthened efforts at poverty reduction, reduced suffering, accountable governance, gender equality, or local leadership, and how did they shape or relate to the distribution of decision-making authority, control over resources, and agenda-setting power in ways that supported these outcomes?

Question Overview

The US foreign assistance system's structural features that support poverty reduction, accountable governance, gender equality, and local leadership are explored through four main themes. Local leadership and empowerment are emphasized through direct funding, capacity building, and the integration of local knowledge, which enhance ownership and accountability. Gender equality and women's empowerment are operationalized via gender-sensitive budgeting and support for women's rights organizations, aligning with international norms to promote sustainable development. Inclusive development frameworks prioritize marginalized groups, integrating human rights and gender equality into policies to ensure equitable access to resources. The theme of conflict highlights tensions within the system, such as the balance between security and development goals, and the impact of militaristic approaches on local leadership. These themes collectively

illustrate how the distribution of decision-making authority and control over resources is shaped to support development outcomes.

Local Leadership and Empowerment

Local leadership and empowerment are central to achieving sustainable development outcomes within the US foreign assistance system. This theme underscores the importance of structural features and institutional arrangements that prioritize local leadership, stakeholder engagement, and empowerment in development processes. Key mechanisms such as direct funding to local actors, capacity building, and the integration of local knowledge and priorities into project design and implementation foster ownership and accountability, leading to sustainable development outcomes (Ahmad et al. 2016; Sharma 2026; Brabant et al. 2021; Robillard et al. 2021).

Direct funding to local organizations empowers them to effectively implement and monitor projects, as evidenced by USAID's initiatives in Indonesia and the RING project in Ghana (Ahmad et al. 2016; Sharma 2026). The Charter for Change and the Grand Bargain further emphasize commitments to increase direct funding to local NGOs, enhancing local leadership and reducing dependency on international intermediaries (Brabant et al. 2021; Robillard et al. 2021). This approach aligns with the localization agenda, which seeks to shift power to local actors, enabling them to lead humanitarian responses and development efforts (Robillard et al. 2021; Pearson et al. 2025).

Capacity building is another critical component, with programs like the HRH Program in Rwanda and the CEPAT project in Indonesia focusing on strengthening local institutions and workforce capabilities (Meara et al. 2015; Ahmad et al. 2016). These efforts are complemented by initiatives that promote local ownership through participatory approaches, such as the Generasi program in Indonesia, which involves local governance structures in decision-making processes (Ahmad et al. 2016). The integration of local knowledge and priorities into development projects is facilitated by frameworks like the LEAF, which assesses stakeholder engagement and emphasizes local decision-making power (Ahmad et al. 2016).

Institutional arrangements that support local leadership include the use of country systems for procurement and financial management, which enhances local ownership and accountability (OECD 2009_2; Rose et al. 2016). The Millennium Challenge Corporation (MCC) exemplifies this by requiring partner countries to lead in proposing and implementing development projects, thereby promoting local leadership and sustainable outcomes (Dunning et al. 2017). Additionally, the involvement of local actors in the design and implementation of projects, as seen in the EMPOWER project in Ethiopia, aligns with existing priorities and initiatives, fostering local ownership and resilience (Mulder 2023).

The post-2015 sustainable development agenda highlights the importance of engaging local expertise and maintaining an appropriate on-the-ground presence to provide local input

and oversight of projects and programs, supporting the effectiveness of foreign assistance (Modernizing Foreign Assistance Network 2024). This includes creating pathways for countries to progress from assistance recipients to greater self-reliance and different kinds of partnerships with the U.S. Government (Modernizing Foreign Assistance Network 2024). The emphasis on local leadership and empowerment reflects a broader shift towards more inclusive and sustainable development practices, contributing to more effective and accountable governance, ultimately supporting poverty reduction, gender equality, and local leadership (OECD 2021; UN Summit for the Future 2024; International Rescue Committee 2026_3).

Decentralization is regarded as a way to make government more responsive and efficient, diffusing social and political tensions and ensuring local cultural and political autonomy (Bardhan 2002). It allows for experimentation in public service provision, enabling demonstration and learning from other jurisdictions, and tends to expand service deliveries as authority goes to those more responsive to user needs (Bardhan 2002). However, decentralization programs need to focus on strengthening local accountability mechanisms to mitigate the potential for capture of local governments (Bardhan 2002). In Nicaragua, transferring key management tasks in public schools from central authorities to local councils involving parents had a significant positive effect on student performance where de facto autonomy was given (Bardhan 2002).

During the post-2015 sustainable development era, there has been a significant push towards channeling more humanitarian funding directly to local and national actors, as evidenced by the Emergency Relief Coordinator's proposal to allocate one-third of global humanitarian funding through CBPFs (Pearson et al. 2025). Networks such as CARITAS and the Act Alliance have long included local faith-based organizations in partnerships and capacity strengthening, highlighting the importance of local and national leadership in crisis management (Barbalet 2018). The RAPID fund in Pakistan, established by USAID, exemplifies efforts to administer grants to local NGOs for immediate humanitarian concerns and long-term capacity-building (Barbalet 2018). Moreover, the localization workstream within the formal humanitarian sector has committed to increasing direct funding to local organizations, further supporting local leadership (Barbalet 2018).

Research should build local research capacity, with evidence of improved capacity for further research after project completion (Meara et al. 2015). Enhancing adaptive capacity and resilience is necessary to address the vulnerability of the poor exacerbated by climate change, supporting efforts to reduce suffering and promote local leadership (Gupta et al. 2016). The Global Fund to Fight AIDS, Tuberculosis and Malaria has institutionalized community engagement in grant-making and monitoring, improving effectiveness and legitimacy (Ullah et al. 2025). Locally led development, cash-based aid, reparative frameworks, and climate-financing innovations demonstrate possibilities for more just and effective aid (Ullah et al. 2025). Unconditional cash transfers reduce bureaucratic overhead and eliminate paternalistic conditionalities, allowing households to allocate resources

according to their own priorities (Ullah et al. 2025). The rise of South–South cooperation and locally led models offers plural and horizontal alternatives that better align with 21st-century realities (Ullah et al. 2025). Aid must be reimagined as a mechanism of partnership grounded in shared vulnerabilities, ethical co-responsibility, and plural pathways to development (Ullah et al. 2025).

Historically, the US foreign assistance system has emphasized grassroots mobilization and local democratic processes, as seen during the Cold War developmentism era. Legislative initiatives, such as the Foreign Assistance Act amendments, encouraged the development of cooperatives and community development programs to promote stable and responsible local governance (Smith 1990_2). This period also saw a focus on utilizing private and voluntary organizations (PVOs) to strengthen indigenous private enterprise and democratic institutions abroad (Smith 1990_2). The post-1990 liberal internationalism era continued this trend, with PVOs being recognized as effective channels for reaching grassroots groups and promoting local leadership (Smith 1990_2).

In the post-9/11 securitization era, the US foreign assistance system adapted to support local leadership through initiatives like the Millennium Challenge Account, which provides aid to countries meeting specific criteria, allowing them to design their own reform programs (Ranis 2007). The emphasis on local ownership and capacity building has been critical in shifting accountability to local governments and enhancing local leadership, though challenges remain in balancing local priorities with agency requirements (Rose 2019). The integration of local civil societies and atypical partners by the Office of Transition Initiatives has further strengthened efforts at local leadership and accountable governance (Brainard 2007).

The post-2015 sustainable development agenda has reinforced the importance of local leadership and empowerment, with structural features such as bipartisan legislative support and the integration of development and diplomacy enabling efforts in poverty reduction, reduced suffering, accountable governance, gender equality, and local leadership (USGLC 2021). Despite challenges in implementation, the focus on locally led development and the diversification of funding sources are seen as crucial for supporting grassroots community work and reducing dependency on traditional donor funding (Khan 2003). The proposed reorganization of U.S. international assistance aims to centralize decision-making and enhance strategic coherence, potentially strengthening efforts in poverty reduction, accountable governance, and local leadership (MODERNIZING FOREIGN ASSISTANCE NETWORK 2025).

Gender Equality and Women's Empowerment

The integration of gender equality and women's empowerment within the US foreign assistance system is a pivotal structural feature that enhances the efficacy of development interventions and aligns with sustainable development goals (Ahmad 2015; Ahmad et al. 2016; Bardhan 2002; Batliwala 2007; Baumol et al. 2007; Bekker et al. 2018; Brainard

2007; Carcelli 2024; Cornwall et al. 2004; Cornwall et al. 2005; Cornwall et al. 2015; Dhanani et al. 2026; Dunning et al. 2017; Escobar 2011; Fennell et al. 2008; Finkel et al. 2007; Fraser 2008; Garrett 2009; Gupta et al. 2015; Gupta et al. 2016; Hariram et al. 2023; Horlings et al. 2018; Hudson 2015; IRWIN 2024_2; International Rescue Committee 2026_1; Irvine 2018; Jamison et al. 2013; Johnson et al. 2018; Johnson-Freese et al. 2021; Kabeer 2015; Khan 2003; Kioko 2023; LUGONES 2010; Lancaster 2008_1; MODERNIZING FOREIGN ASSISTANCE NETWORK 2025; Maass 2023; McKechnie et al. 2012; Moghadam 2020; Mohanty 2003; Mulder 2023; Norton 2011; OECD 2009_2; OECD 2010; OECD 2012; OECD 2023_2; Ottersen et al. 2014; Pearson et al. 2025; Roggeband et al. 2014; Sharma 2026; Siyal et al. 2025; Stern et al. 2026; Trebilcock 2005; True 2012; True 2016; USGLC 2021; Ullah et al. 2025; United Nations 2015; United Nations General Assembly 2015; Wall et al. 2016; Whiteside 2010; Women's Refugee Commission 2026; Woolcock et al. 2000; World Bank 1982; World Bank 1989; World Bank 1992; Zwingel 2019). This integration is operationalized through mechanisms such as gender-sensitive budgeting, support for women's rights organizations, and initiatives that promote women's participation in decision-making processes (OECD 2021; UN Summit for the Future 2024). International frameworks like the Beijing Declaration and the 2030 Agenda guide the design and evaluation of interventions to ensure alignment with gender equality and human rights standards (OECD 2021; UN Summit for the Future 2024).

The adoption of a human rights and gender equality lens in evaluations facilitates a nuanced analysis of interventions' impacts on diverse groups, particularly marginalized populations. This approach aids in assessing systemic changes, such as shifts in traditional gender roles and the empowerment of women within legal, political, economic, and social systems (OECD 2023_1; UN Women 2025). Prioritizing direct funding to women-led organizations and emphasizing their meaningful participation in decision-making bodies enhance local leadership and the responsiveness of aid to community needs (UN Women 2025; Gingerich et al. 2015).

Fiscal policies are crucial in promoting gender equality, with equitable reforms and gender-responsive budgeting essential for addressing systemic inequalities and supporting women's economic empowerment (Grown et al. 2025_2; Patel 2025). Aligning fiscal policy with gender equality objectives, including investments in social infrastructure and care services, is vital for achieving long-term societal goals like poverty reduction and gender equality (Grown et al. 2025_1). Additionally, climate and gender budgeting can improve management and accountability, evaluate impact, and enhance planning for gender equality outcomes (Patel 2025).

Efforts to achieve gender equality and the empowerment of women and girls are intensifying, including preventing setbacks and tackling persistent barriers to the implementation of the women and peace and security agenda (UN Summit for the Future 2024). The full, equal, safe, and meaningful participation of women in decision-making at all levels of peace and security is essential for sustainable peace (UN Summit for the Future

2024). Moreover, reforms are needed to ensure women have equal rights to economic resources, access to ownership and control over land and other forms of property, financial services, inheritance, natural resources, and appropriate new technology, in accordance with national laws (UN Summit for the Future 2024).

The structural features of the US foreign assistance system that support gender equality and women's empowerment are characterized by a commitment to international gender equality norms, the integration of gender perspectives into policy and practice, and the empowerment of local actors to lead and sustain transformative change (OECD 2023_1; UN Women 2025). This includes recognizing that gender equality is now referenced in the evaluation policies of a majority of DAC members, with 40% of total bilateral aid addressing gender equality objectives according to ODA data (OECD 2023_1). The OECD DAC updated its evaluation criteria to strengthen the normative framework for consistent, high-quality evaluations of development cooperation, incorporating human rights and gender equality principles (OECD 2023_1).

In the post-2015 sustainable development era, the establishment of national climate funds and country platforms prioritizing local community involvement and gender-responsive budgeting have significantly strengthened local leadership and governance, supporting poverty reduction and gender equality (Patel 2025). The integration of gender equality into the Sustainable Development Goals (SDGs) and the emphasis on inclusive and sustainable growth reflect a structural shift towards recognizing the importance of gender equality and environmental sustainability in achieving accountable governance and local leadership (Cook et al. 2023). Despite funding cuts, women-led and women's rights organizations have demonstrated resilience by adapting service delivery and forming consortia for grant applications, underscoring the importance of institutional support and capacity strengthening as structural features that enable their continued advocacy and service provision (UN Women 2025).

The diffusion of gender equality norms is a dynamic and multidirectional process involving multiple actors and levels, where norms are not only translated but also renegotiated, reflecting the power dynamics and structural features of the US foreign assistance system that support gender equality and local leadership (Van Eerdewijk et al. 2014). The Paris Declaration and the Accra Agenda for Action have created a structural framework that integrates gender equality and women's empowerment into aid effectiveness, thereby enhancing the distribution of decision-making authority and control over resources to support these outcomes (OECD 2009_1). Furthermore, the Biden administration's approach to US foreign assistance emphasizes an intersectional lens and inclusive policymaking, which aims to address systemic inequalities and promote gender equality, thereby enhancing the effectiveness of aid in reducing poverty and suffering, and supporting accountable governance and local leadership (O'Donnell 2020).

Inclusive Development

Inclusive development serves as a critical framework for tackling systemic poverty and inequality by ensuring equitable access to resources and opportunities for marginalized groups. The 2030 Agenda for Sustainable Development emphasizes inclusiveness, human rights, gender equality, and environmental sustainability as essential components for achieving universal development benefits (OECD 2021; UN Summit for the Future 2024). Central to this agenda is the principle of 'leaving no one behind,' which prioritizes reaching the most marginalized and vulnerable populations first (OECD 2021; UN Summit for the Future 2024).

Institutional arrangements that foster inclusive development often involve multi-stakeholder partnerships and participatory governance structures. These frameworks empower marginalized groups to participate in decision-making processes, thereby enhancing accountability and ensuring that development interventions are relevant and responsive to local needs (OECD 2021; Patel 2025). As previously discussed, the use of country platforms and devolved funds can facilitate community-driven planning and resource allocation, promoting local leadership and empowerment (Patel 2025). The African Development Bank's initiatives in Cabo Verde, which focused on inclusive growth through infrastructure development and governance reforms, underscore the significance of such institutional arrangements (OECD 2021).

Integrating gender equality and human rights into development policies is crucial for achieving inclusive outcomes. Evaluations of development interventions increasingly apply a human rights and gender equality lens to assess their impact on marginalized groups, ensuring that interventions are equitable and non-discriminatory (OECD 2023_1). This approach not only addresses immediate needs but also builds an enabling environment for the continued realization of rights and equality (OECD 2023_1). Special attention to gender equality and social inclusion, as demonstrated in Cabo Verde, further highlights the importance of these considerations (OECD 2021).

Financial mechanisms also play a pivotal role in supporting inclusive development. The mobilization of private capital through innovative financing strategies, such as the Global Digital Compact and climate finance initiatives, aims to bridge digital divides and support sustainable development goals (UN Summit for the Future 2024; Bridgetown Initiative n.d._1). These efforts are complemented by international cooperation and capacity-building initiatives that enhance the ability of developing countries to implement inclusive policies and practices (UN Summit for the Future 2024). The Bridgetown Initiative emphasizes the need to address structural imbalances in international financial governance to ensure equitable climate finance flows (Bridgetown Initiative n.d._1).

Moreover, inclusive development is supported by frameworks that stress the importance of social and ecological inclusiveness. Policies that integrate environmental sustainability with social equity, such as those promoting sustainable agriculture and climate resilience, are

essential for achieving long-term development goals (Gupta et al. 2016; Bhattacharya et al. 2025). These policies ensure that development is not only economically viable but also socially just and environmentally sustainable. The evaluation of the 'Improving Farmer Livelihoods' project in Myanmar's Central Dry Zone, which adapted to environmental and policy changes over time, exemplifies the relevance of such approaches (OECD 2021).

The role of social capital is also emphasized in fostering inclusive development. Social capital, manifested as cooperation, trust, and institutional efficiency, can counteract sectarianism, isolationism, and corruption, potentially supporting poverty reduction and accountable governance (Woolcock et al. 2000). Transforming situations where a community's social capital substitutes for weak, hostile, or indifferent formal institutions into ones where both realms complement each other can strengthen efforts at poverty reduction and accountable governance (Woolcock et al. 2000). Additionally, information disclosure policies and improvements in physical access and modern communications technology can foster information exchange across social groups, encouraging informed citizenship and accountability (Woolcock et al. 2000).

Economic growth is closely linked to poverty reduction, as evidenced by the rapid economic growth in countries like India and China facilitated by openness to trade and investment (Baumol et al. 2007). Growth and poverty reduction are interdependent, with institutions such as well-enforced property rights and the absence of corruption being crucial to achieving these goals (Baumol et al. 2007). Different countries have achieved rapid growth rates with somewhat different institutional structures, suggesting that flexible approaches can enable poverty reduction and other goals (Baumol et al. 2007).

In summary, inclusive development is a comprehensive approach that requires the integration of diverse perspectives and the active participation of marginalized groups in development processes. By fostering equitable access to resources and opportunities, inclusive development not only addresses the root causes of poverty and inequality but also promotes sustainable and resilient communities. Efforts to build peaceful, inclusive, and just societies are supported by addressing the root causes of conflicts and promoting the rule of law at international and national levels (UN Summit for the Future 2024).

Conflict

The theme of conflict within the US foreign assistance system highlights a series of discursive tensions and incompatible interpretations regarding its structural features and their impact on development outcomes. Fragmentation within the system is perceived as both empowering and problematic; it can enhance the bargaining power of partner countries against conditionalities (Calleja et al. 2026), yet it also introduces new frictions and challenges, complicating the operationalization of development strategies (Cichocka et al. 2025). This complexity is further exacerbated by the dilemmas faced by partner countries in balancing nationally owned and donor-endorsed development strategies, particularly for those heavily reliant on aid (OECD 2009_2).

A notable tension exists between gender justice and economic competitiveness, where gender mainstreaming strategies require a gendered approach to trade liberalization and development, potentially conflicting with economic goals (Roggeband et al. 2014). The militaristic and hegemonic approach of the US foreign assistance system is criticized for perpetuating patriarchy and undermining gender equality and local leadership, especially in the Middle East (Moghadam 2020).

The integration of security and development post-9/11 shifted aid allocation towards conflict-affected states, prioritizing security over traditional development goals and altering the distribution of resources and decision-making authority (Norton 2011). This shift mirrors earlier Cold War strategies that prioritized technological solutions over local needs, impacting decision-making authority and resource control (Clapp 2013). However, initiatives like the Global Conflict Prevention Pool and the Africa Conflict Prevention Pool have aimed to strategically reduce conflicts by pooling resources and improving coordination among departments (Brainard 2007).

In environmental decision-making, properly planned participation can ease inherent conflicts (World Bank 1992; Kouamou et al. 2008), while sustainable development offers a common ground for deliberations among frequently conflicting development and environmental sectors (Hariram et al. 2023). Additionally, governments are adapting resource allocation rules to reduce conflicts between authorities and local communities, establishing procedures for resolving disputes among competing claimants (World Bank 1992).

The emphasis on flexible funding in global health programs, intended to align assistance with local priorities, faces resistance from Congress, which uses spending directives to maintain US leadership, highlighting a tension between flexibility and accountability (Estes et al. 2026). Abrupt funding cuts by the US executive branch have disrupted decision-making authority and weakened institutional capacity, particularly affecting local NGOs and WROs in the Global South (Stern et al. 2026).

Finally, the conflation of humanitarianism with humanitarian aid perpetuates power imbalances, prioritizing Global North-led interventions over local efforts, as seen in crisis responses in Pakistan and Syria (Aloudat et al. 2022). These conflicts underscore the complex power dynamics within the US foreign assistance system, which both enable and challenge efforts towards poverty reduction, accountable governance, and local leadership (Rampton et al. 2017). The heterogeneity within governments, with clear boundaries between reform champions and those benefiting from the corrupt status quo, further affects the success of reforms (Ahmad 2015).

Other

The 'Other' theme within the US foreign assistance system encapsulates a spectrum of minority or residual insights that enrich the understanding of its structural features and their influence on poverty reduction, governance, and development outcomes. These insights reveal the nuanced and multifaceted nature of foreign assistance, reflecting diverse mechanisms and outcomes across various contexts and periods.

Multilateralism and international cooperation are crucial for enhancing the effectiveness of foreign assistance. Multilateral development banks (MDBs) and international organizations offer essential technical assistance, policy advice, and concessional financing, which are vital for sustainable development and poverty reduction (Prizzon et al. 2026; United Nations 2015). The integration of global funds and alignment with partner countries' priorities have improved aid effectiveness (OECD 2009_2). Reforms in the international financial architecture are deemed critical for building trust and ensuring efficiency and equity in the multilateral system (UN Summit for the Future 2024).

Innovative financing mechanisms, such as debt-for-nature swaps and sovereign loan guarantees, support environmental conservation and economic stability in developing countries (Bridgetown Initiative 2026; Morris et al. 2023). These mechanisms provide fiscal space and incentivize sustainable development practices, with the Bridgetown Initiative significantly reshaping the financing system to achieve the Sustainable Development Goals (SDGs) and spur climate action (Bridgetown Initiative n.d._2).

The structural features of the US foreign assistance system, such as the emphasis on public health and primary care, have supported poverty reduction and reduced suffering by addressing primary health care problems at the population level (Brainard 2007). Health initiatives integrated with broader development strategies have achieved significant outcomes, such as reducing HIV/AIDS and malaria incidence through programs like PEPFAR (Bekker et al. 2018; Brainard 2007). Strengthening health system preparedness and disease monitoring is essential for protecting against biothreats and ensuring global health security (US Global Leadership Coalition 2025).

Governance and accountability frameworks, such as the Paris Declaration on Aid Effectiveness, promote transparency, mutual accountability, and results-oriented frameworks (OECD 2009_2). These frameworks facilitate better alignment of aid with partner countries' systems and priorities, enhancing foreign assistance effectiveness in achieving development outcomes. Local leadership and capacity building are critical, as strengthening local institutions and promoting local ownership of development processes are vital for long-term development goals (OECD 2005; United Nations 2015).

Evaluations are crucial for ensuring foreign assistance effectiveness. Revised evaluation criteria support continuity and build on successful definitions, contributing to higher quality evaluations (OECD 2021). Evaluations should assess whether appropriate exit

strategies have been developed and applied to ensure the continuation of positive effects (OECD 2021). The 2030 Agenda influences evaluation criteria interpretation and the evaluation process, including stakeholder involvement and priority question identification (OECD 2021).

The post-1990 liberal internationalism and governance era saw efforts to improve aid management and transparency, with frameworks like the Paris Declaration and Accra Agenda for Action setting priorities for aid effectiveness (OECD 2012). Renewed political leadership and improved transparency around aid are critical for addressing unfinished business and making a difference in developing countries (OECD 2012). The use of partner country systems and untying aid have been emphasized to enhance aid predictability and effectiveness (OECD 2012). However, there is a growing recognition that the balance between policy autonomy and international rules may have swung too far towards international rules, and developing nations should push for 'policy space' in future trade negotiations (Rodrik 2004).

The post-2015 sustainable development era emphasizes outcome-oriented approaches to humanitarian assistance, leveraging aid to reduce humanitarian needs (Modernizing Foreign Assistance Network 2025). USAID's enhanced monitoring, evaluation, and learning capabilities should be maintained and transferred to the State Department to focus on outcomes rather than outputs (Modernizing Foreign Assistance Network 2025). The integration of existing humanitarian and development structures under a Deputy Secretary aims to ensure effective delivery of assistance and economic development (Modernizing Foreign Assistance Network 2025). Principles and procedures for free, prior, and informed consent, particularly as developed in the forestry and extractive sectors, will increasingly provide guidance relevant to the agricultural sector (Cotula 2009).

During the post-1990 liberal internationalism and governance period, projects like the Northern Nigeria Agricultural Development Projects demonstrated the effectiveness of granting reasonable autonomy in day-to-day operations and utilizing expatriate skills to compensate for local manpower deficiencies (World Bank 1982). These projects, conceived as services offered to farmers without pressure to adopt specific techniques, achieved high visibility and effectiveness by affecting a 'critical mass' of people and engaging larger farms with political clout (World Bank 1982).

The integration of moral values such as humanitarianism, utilitarianism, equity, and rights has enabled diverse support for global health initiatives, influencing the distribution of decision-making authority and control over resources by aligning various stakeholders with different ethical perspectives (Benatar et al. 2003). The emphasis on transparency, independence, and ethical guidelines in the DAC Quality Standards for Development Evaluation enhances credibility and supports the goals of accountable governance and reduced human suffering (OECD 2010). The integration of private sector involvement and public-private partnerships in U.S. foreign assistance supports economic growth and

poverty reduction by leveraging private investment and creating markets, while promoting accountable governance through co-creation and collaboration with U.S. personnel experienced in the private sector (US Global Leadership Coalition 2025).

The G20's strategic focus on private capital mobilization (PCM) in emerging markets and developing economies (EMDEs) is supported by a multi-layered institutional framework that includes recalibrating MDB risk-taking, enhancing risk and return data transparency, and aligning prudential regulations with MDB and DFI instruments, which collectively aim to strengthen local capital markets and support sustainable growth (Attridge et al. 2026). The structural shift towards geopolitical competition and declining cooperation has led to a fragmented aid system, undermining long-term commitments and reducing aid effectiveness in fragile and conflict-affected states, where the majority of extreme poverty and humanitarian need is concentrated (International Rescue Committee 2026_2).

Overall, the 'Other' theme captures the complexity and diversity of the US foreign assistance system, highlighting the interplay of various structural features and their impact on development outcomes. These insights provide valuable lessons for enhancing the effectiveness and sustainability of foreign assistance in addressing global challenges.

How were have the dominant structural features (conceptual framings, and operational and institutional forms) been embedded in, transmitted through, or transformed by wider aid institutions, and with what consequences for the distribution of decision-making authority, control over resources, and agenda-setting power, as well as for system outcomes?

Question Overview

The research question is explored through five themes, each highlighting different aspects of how aid institutions' structural features are influenced and transformed. Geopolitical influence has historically prioritized donor interests, affecting decision-making and resource control, with shifts in power dynamics as new donors like China emerge. Economic interests and conditionality have reshaped governance in recipient countries, often prioritizing market-driven growth over developmental needs. Institutional and operational forms have evolved, integrating private sector methodologies and strategic reforms, yet challenges of fragmentation persist. Normative and ideological shifts, particularly neoliberalism, have redefined aid's conceptual framing, emphasizing donor interests and efficiency. Finally, the theme of conflict underscores the tensions between geopolitical and economic motivations, affecting aid distribution and outcomes. These themes collectively illustrate the complex interplay of geopolitical, economic, and ideological factors in shaping aid institutions and their impact on global development.

Geopolitical Influence on Aid

Geopolitical dynamics have long been a decisive factor in the distribution of aid, often aligning with the strategic interests of donor countries rather than the needs of recipients. This alignment has significantly influenced decision-making authority and control over resources in recipient nations (Abreu 1985; Benatar et al. 2003; Bräutigam et al. 2004; Garrett 2009; Haggard et al. 1987; IRWIN 2024_1; Irwin 2024_2; Irwin 2024_6; Irwin 2024_7; Sewell et al. 2017; Walcher 2017; World Bank 1986). During the Cold War, aid was a strategic tool wielded by the U.S. and the Soviet Union to secure geopolitical advantages, thereby affecting both decision-making authority and agenda-setting power (Meernik et al. 1998; Lanati 2019; Clapp 2013; Hybel 2014; IRWIN 2024_1; Irwin 2024_2; Mearsheimer 2019; Sewell et al. 2017). Aid allocations during this period were often dictated by ideological alignments, with the U.S. prioritizing political objectives over developmental goals to support allies against the Soviet bloc (Sullivan 1996; Lee 2022). The U.S. foreign aid program thus mirrored its broader foreign policy, encompassing a range of goals, including military financing through guaranteed loans (Morris et al. 2023).

In the post-Cold War era, aid distribution continued to reflect geopolitical interests, with strategic alliances playing a crucial role in allocation decisions (Adler-Nissen 2014; Berger 2013; Easterly 2007_1; Jamison et al. 2013; Landau et al. 2017; Rampton et al. 2017; Simmons et al. 2004; Ullah et al. 2025). Western donors, including the U.S., often used aid to promote democracy and human rights, although entrenched interests limited significant policy shifts, maintaining continuity in decision-making authority (Meernik et al. 1998; Alesina et al. 2000). The emergence of China as a major donor, particularly through the Belt and Road Initiative, has introduced new dynamics, challenging traditional donors and impacting control over resources in recipient countries (Gulrajani 2022; Kumar et al. 2025). Despite China's growing influence, traditional donors retain substantial power, especially in Africa (Kumar et al. 2025).

Following the events of 9/11, aid became increasingly securitized, aligning closely with national security strategies (Baumol et al. 2007; Carati et al. 2025; Dalby 2017; Gingerich et al. 2015; Lancaster 2008_2; OECD 2009_2; Riaao-Rodrriguez 2014; Selenica 2022). The U.S. utilized aid to enhance security cooperation, thereby influencing agenda-setting power and prioritizing regions of strategic interest (US Global Leadership Coalition 2025; Brainard 2007). Aid was also employed as a counterterrorism tool, embedding geopolitical considerations further into aid distribution (Moghadam 2020; Norton 2011). The integration of aid with military and diplomatic strategies has been deemed necessary to safeguard national and economic security (US Global Leadership Coalition 2025).

In recent years, geopolitical competition has intensified, with initiatives such as the G7's Build Back Better World and the EU's Global Gateway emerging as countermeasures to China's influence, affecting decision-making authority and agenda-setting power in recipient countries (Gulrajani 2022; USGLC 2021). The rise of far-right parties in Europe has also shifted aid priorities towards migration containment, reflecting domestic political

pressures over developmental needs (Kumar et al. 2025). This structural shift in global aid, driven by geopolitical competition and declining cooperation, has resulted in a fragmented aid system that prioritizes short-term alliances over long-term commitments, thereby reducing decision-making authority and control over resources for fragile and conflict-affected states (International Rescue Committee 2026_2).

The post-2015 sustainable development era has witnessed a shift towards more transactional, nation-centered narratives in European Official Development Assistance (ODA), linked to the EU's new strategic priorities (Kumar et al. 2025; Aloudat et al. 2022; Attridge et al. 2026; Bekker et al. 2018; Endam Mbah et al. 2025; Fisher-Onar et al. 2022; Ingram et al. 2025; International Rescue Committee 2026_3; Pearson et al. 2025; Tarnoff 2018). The U.S. seeks to counter authoritarian influence in multilateral organizations by promoting highly qualified U.S. candidates for leadership roles (USGLC 2021). Meanwhile, the increasing influence of China and India in regions such as the AIS suggests that traditional development partners may need to adapt to maintain their influence (Panwar et al. 2026). Overall, geopolitical interests continue to shape aid distribution, often at the expense of recipient needs, affecting the distribution of decision-making authority and control over resources.

Economic Interests and Conditionality

The transition from geopolitical to economic interests in aid allocation has markedly influenced the imposition of conditionalities, thereby reshaping decision-making authority and control over resources in recipient countries (Dalby 2017; Fernando 2015; Ottersen et al. 2014). Historically, international financial institutions such as the IMF and World Bank have enforced market-oriented reforms during the structural adjustment era, which significantly impacted sovereignty and internal governance (Walt et al. 1994; Moyo 2010; Easterly 2007_1; Alesina et al. 2000; Baumol et al. 2007; Booth et al. 2008; Bräutigam et al. 2004; Gibson et al. 2005; Sullivan 1996). These reforms often prioritized trade liberalization and privatization, aligning recipient countries' policies with donor interests (Wade 2018; Khadka 1997; Escobar 2011; McKechnie et al. 2012). The Washington Consensus epitomized this approach, emphasizing economic liberalization and institutional reforms (Moyo 2010; Easterly 2007_2). However, structural adjustment lending frequently failed to rectify macroeconomic policies and price distortions, leading to significant controversy (Easterly 2007_1).

In the 1980s, bilateral debt swaps emerged as a mechanism linking debt relief to development outcomes, classified as Official Development Assistance. Yet, repayment challenges during the global recession necessitated debt refinancing and reduction plans (Bridgetown Initiative 2026; Morris et al. 2023). The Bretton Woods institutions supplemented market-led strategies with 'pro-poor' growth initiatives, although economic growth did not consistently translate into human development or gender equality (Cook et al. 2023).

The post-2015 sustainable development context has seen the rise of non-traditional donors like China, introducing new dynamics. China's Belt and Road Initiative (BRI) ties aid to commercial contracts, bypassing traditional safeguards and challenging Western aid models (Gulrajani 2022). This has prompted responses such as the G7's Build Back Better World and the EU's Global Gateway, which aim to counterbalance China's influence by promoting infrastructure and green transitions (Gulrajani 2022). These initiatives reflect a competitive landscape where aid is increasingly used to advance economic interests and geopolitical influence (Gulrajani 2022; US Global Leadership Coalition 2025). The Global Gateway, in particular, provides a geostrategic framework reflecting European values, challenging Chinese subsidies and affecting decision-making authority and agenda-setting power (Gulrajani 2022).

The focus on economic interests has also led to increased debt burdens for recipient countries, particularly from private creditors, complicating their financial stability and decision-making autonomy (Bridgetown Initiative 2026; Pearson et al. 2025). The shift towards short-term transactional partnerships and the retrenchment of foreign assistance in the New World Disorder has led to a concentration of aid in non-fragile states, exacerbating the gap between needs and resources in fragile and conflict-affected settings, which undermines the distribution of decision-making authority and control over resources in these areas (International Rescue Committee 2026_3). The emphasis on market-driven growth has often sidelined social and developmental goals, as evidenced by the prioritization of private sector involvement in achieving Sustainable Development Goals (Cook et al. 2023; Kabeer 2015). Aid volatility, characterized by variability and unpredictability, undermines institutional development by creating uncertainty in resource allocation, tax policy setting, and coordination with NGOs, particularly affecting highly aid-dependent countries (Iannantuoni 2025). The commitment to markets as the main driver of growth is evident in continued partnerships with the private sector to generate resources for SDG goals (Cook et al. 2023).

In sum, the transformation in donor motivations from geopolitical to economic interests has entrenched conditionalities that reshape the internal governance of recipient countries, often prioritizing donor economic interests over local needs and development priorities (Khadka 1997; Ullah et al. 2025). This shift has profound implications for the distribution of decision-making authority and control over resources, highlighting the complex interplay between aid, economic interests, and sovereignty. The political economy of foreign aid reveals its dual function: it can empower governments with resources but also entrench asymmetrical dependencies and authoritarian governance (Ullah et al. 2025).

Institutional and Operational Forms

The transformation of institutional and operational forms within aid institutions has profoundly influenced decision-making authority and resource control, particularly through the adoption of private sector methodologies and the restructuring of multilateral development banks (MDBs) and international financial institutions (IFIs). In the post-2015

sustainable development era, there has been a marked shift towards strategic and coordinated approaches, as evidenced by the G20's initiatives to reform MDBs. These reforms aim to enhance risk-taking capabilities, mobilize private capital, and align with broader geopolitical and economic imperatives (Attridge et al. 2026; Prizzon et al. 2026). The integration of resilience investments into IMF and World Bank projections further exemplifies this transformation, impacting macrofiscal outcomes and the distribution of decision-making authority (Bridgetown Initiative 2025_2). Governance reforms at these institutions are also pursued to amplify the representation and voice of developing countries in global economic decision-making, norm-setting, and governance (UN Summit for the Future 2024).

The restructuring of U.S. foreign assistance under the Trump administration, characterized by the consolidation of humanitarian aid and a focus on bilateral agreements, reflects a centralization of agenda-setting power and decision-making authority, potentially undermining multilateral cooperation (Estes et al. 2026). Similarly, the EU's strategic agenda has shifted towards mutual benefit partnerships, embedding aid within broader geopolitical strategies and affecting control over resources (Kumar et al. 2025). The U.S. International Development Finance Corporation (DFC) has faced challenges in making new commitments despite a reauthorization that expanded its portfolio cap and investment flexibility, impacting its agenda-setting power and system outcomes (Estes et al. 2026).

Despite these shifts, achieving coherence and reducing fragmentation within aid systems remains challenging. The OECD underscores the need for modernizing business models and rebalancing partnerships to reflect new realities, emphasizing coherence and alignment with international norms (Calleja et al. 2026; Cichocka et al. 2025; OECD 2021). However, bureaucratic fragmentation persists, particularly in the U.S. foreign aid system, complicating the distribution of decision-making authority and control over resources, as evidenced by complex inter-agency relationships and varied competencies (Carcelli 2024; Lundsgaarde 2014; Modernizing Foreign Assistance Network 2024).

The G20's influence is notable in issuing high-level directives that members carry back to the boards and leadership of IFIs, where they represent a supermajority of shareholders, allowing for a comprehensive, political-level view of the IFI system that individual institution boards cannot achieve (Attridge et al. 2026). The Taskforce on Credit Enhancement for Sustainability-Linked Sovereign Financing seeks to scale credit enhancement for sustainability-linked sovereign financing through collaboration with MDBs, DFIs, insurers, and philanthropic entities (Bridgetown Initiative 2026). Insurers, alongside other institutions, can act as potential long-term investors in resilience, but require robust public policy support to scale in emerging markets and developing economies (Bridgetown Initiative 2025_1).

The integration of private sector methodologies and strategic reforms has reshaped operational forms and decision-making structures within aid institutions. However, the

effectiveness of these changes hinges on addressing persistent challenges of fragmentation and aligning with global principles of ownership and adaptability. The increasing number and diversity of purposes served by development agencies raise questions about the type of impact they are expected to achieve, leading to a mismatch between results frameworks and the overarching impact sought (Calleja et al. 2026). The establishment of DFID in the UK, which attracted top talent and became a leading actor in foreign assistance, illustrates how institutional reforms can enhance influence and effectiveness (Brainard 2007). Conversely, the structural features of the U.S. aid system, such as the integration of USAID and State Department planning, have led to confusion and discontent, highlighting the challenges of aligning foreign assistance with foreign policy goals (Lancaster 2008_2). The emergence of the Department of Defense as a significant player in foreign aid, particularly through initiatives like AFRICOM, has transformed the distribution of decision-making authority and control over resources within the U.S. foreign assistance system (Lancaster 2008_2).

Normative and Ideological Shifts

The evolution of normative and ideological frameworks, particularly the rise of neoliberalism and liberal internationalism, has profoundly reshaped the structural features of aid institutions, thereby influencing decision-making authority and control over resources (Adler-Nissen 2014; Ahmad et al. 2016; Barnett et al. 1999; Booth et al. 2008). Neoliberalism, with its emphasis on transactional approaches and economic liberalization, has reoriented aid distribution towards national interests, altering the balance of decision-making authority and agenda-setting power (Kumar et al. 2025; Gulrajani 2022; Wade 2018). This shift is marked by a heightened focus on measurable outcomes and efficiency, often prioritizing donor interests over traditional development goals (Kumar et al. 2025; Gulrajani 2022). The decline of the North/South binary and the rise of multistakeholderism have introduced a plurality of narratives, complicating the development effectiveness agenda and weakening accountability mechanisms (Gulrajani 2022; Kumar et al. 2025; Garrett 2009; Mearsheimer 2019). This fragmentation has been further exacerbated by the integration of security concerns into development agendas post-9/11, shifting control towards donor countries (Duffield 2001; Kumar et al. 2025; Barkawi et al. 2006; Fernando 2015).

The focus on global public goods and the transactional nature of aid have led to a prioritization of donor interests, often resulting in reduced aid budgets and a shift away from core development objectives (Kumar et al. 2025; Gulrajani 2022; Moyo 2010; Sullivan 1996). This has been accompanied by a narrative shift towards resilience and self-reliance, which, while promoting local agency, often obscures underlying power imbalances and perpetuates existing inequalities (Duffield 2012; Kumar et al. 2025). Ideological shifts have also influenced operational forms, with a move towards decentralized authority and market-based solutions, reflecting neoliberal principles (Wade 2018; Gulrajani 2022; Eyben 2008; Eyben 2010). This has led to a reconfiguration of aid institutions, where non-state actors and private entities play increasingly prominent roles, further complicating the

distribution of decision-making authority and control over resources (Banks et al. 2015; Wade 2018).

The transformation of the multilateral system, centered around the United Nations, aims to enhance effectiveness, democracy, and inclusivity, impacting global decision-making and the participation of developing countries (UN Summit for the Future 2024). The Bridgetown Initiative underscores the need for a paradigm shift in the global financial system to address inequalities and climate challenges, emphasizing equitable governance in international financial institutions (Bridgetown Initiative n.d._2). Narratives linking aid to national interests can create volatility in aid budgets, as evidenced by Germany's significant humanitarian aid budget cuts in 2024 (Kumar et al. 2025; Peake 2016; Riaao-Rodrriguez 2014). The moral argument for aid has historically influenced discussions around Official Development Assistance (ODA), impacting decision-making authority and agenda-setting power (Kumar et al. 2025; Ingram et al. 2025; Khadka 1997). The shift towards a 'no aid' narrative and proposals to rethink ODA funding sources reflect a transformation in how aid is embedded in wider institutions (Kumar et al. 2025; Lancaster 2008_1; Ranis 2007).

The humanitarian aid sector's conceptual framing of neutrality and impartiality is intertwined with racial hierarchies and colonial legacies, affecting decision-making authority and control over resources (Aloudat et al. 2022; Narayanaswamy 2024). Efforts to integrate humanitarian, development, and peacebuilding efforts (the 'triple nexus') have expanded the scope of humanitarian action but diluted its principles, leading to challenges in maintaining neutrality and impartiality (Narayanaswamy 2024; Hilhorst 2018; Robillard et al. 2021). The evolution of GDP as a dominant structural feature in aid institutions has consistently influenced decision-making authority and control over resources, with critiques highlighting the limitations of GDP in addressing human development and gender equality (Cook et al. 2023).

Overall, these shifts underscore the complex interplay between normative frameworks and institutional practices, shaping the landscape of international aid and its impact on global development outcomes (Simmons et al. 2004; Van Eerdewijk et al. 2014). The emergence of supranational, nationalist, and solidaristic narratives in global development reflects a transformation in the conceptual framing of aid, affecting the distribution of power and accountability mechanisms within aid institutions (Gulrajani 2022).

Conflict

The theme of discursive conflict within aid institutions is characterized by the tension between geopolitical and economic motivations, which often diverge from the developmental needs of recipient countries. This discord is evident in the alignment of aid flows with donor strategic interests, as opposed to purely developmental criteria, a pattern that has persisted since the post-9/11 era. During this period, military aid and alliance-building efforts were frequently at odds with developmental goals, reflecting a broader clash between security objectives and the pursuit of development (Brainard 2007; Ottersen

et al. 2014). This divergence in donor strategies has led to varied allocations of aid, impacting the distribution of decision-making authority, control over resources, and agenda-setting power (Obrecht et al. 2025). Notably, France and Japan demonstrated a positive shift towards supporting democracy, with France moving away from rewarding autocratic regimes (Easterly 2007_1).

Operational conflicts within aid agencies further complicate the landscape. The post-9/11 securitization of aid saw a clash between quantitative, results-focused approaches and traditional development practices. This is exemplified by the RAND-style nation-building metrics, which often conflicted with USAID's operational culture (Natsios 2011). Similarly, the focus on outputs in programs like PEPFAR sometimes contradicted established development practices, jeopardizing achievements in global health (Ottersen et al. 2014).

Ideological polarization also plays a significant role in shaping aid effectiveness debates. The post-1990 era of liberal internationalism is marked by polarized discussions, with critics questioning the impact of aid on growth and poverty alleviation, while some studies highlight significant returns on development projects (Riddell 2008; Brainard 2007). This polarization extends to policy debates, such as those concerning comprehensive versus selective care in health policy during the structural adjustment period (Walt et al. 1994). The Helms-Burton Act, which violated WTO rules, exemplifies how U.S. foreign assistance policies can influence global trade relations and agenda-setting power (Adler-Nissen 2014).

Geopolitical motivations further complicate aid dynamics, as seen during the Cold War and post-World War II periods. U.S. foreign aid was heavily influenced by anti-colonial movements and Cold War politics, shaping both aid practices and motives (Irwin 2024_7; Rostow et al. 1960). The Cold War era heightened the sense of choice regarding political and social techniques for modernization in underdeveloped areas (Rostow et al. 1960). The IMF's inconsistent policy prescriptions across different regions underscore the geopolitical underpinnings of economic aid strategies (Walcher 2017).

Finally, the interplay between liberal internationalism and realist paradigms affects decision-making authority and agenda-setting power, as illustrated by the EU and U.S. roles in the Sri Lankan peace process. The EU's liberal internationalist model promoted a symmetrical relationship between the conflicting parties, whereas the U.S. aimed at maintaining undivided territorial sovereignty, contributing to an asymmetrical relationship between the government and the LTTE (Fernando 2015). These conflicts highlight the complex interplay of geopolitical and economic motivations in shaping aid institutions and their outcomes.

Other

The 'Other' theme within the international aid system reveals critical yet often overlooked dynamics that challenge the effectiveness of aid distribution. A stark example is the allocation of only 25% of the remaining aid budget to fragile and conflict-affected states,

despite these regions being home to the majority of people in humanitarian need (International Rescue Committee 2026_3). This misalignment highlights significant obstacles in addressing extreme poverty and humanitarian crises. Furthermore, the dependency on wealthy donor countries, exemplified by the Global Fund's reliance, underscores potential influences on decision-making authority and resource control (Keller et al. 2025). In 2023, the U.S. significantly increased its funding to offset reductions by other governments, pushing humanitarian ODA to unprecedented levels, yet the OECD forecasts a potential decline in official development assistance by 2025, indicating shifts in aid distribution and funding structures (Obrecht et al. 2025).

The development finance landscape for Small Island Developing States (SIDS) is constrained by structural vulnerabilities and limited fiscal space, necessitating tailored financial strategies that address unique regional challenges (Panwar et al. 2026). The humanitarian system's reliance on predictable, collective financing is under strain, with funding falling short by the end of 2024 (Women's Refugee Commission 2026). The political debate over the cost of hosting refugees in donor countries affects the distribution of ODA spending between domestic and international humanitarian efforts (Pearson et al. 2025).

A shift towards resilience paradigms in humanitarian aid has transformed the conceptual framing from crisis response to recognizing local resilience, impacting governance relations and potentially altering decision-making authority (Hilhorst 2018). This shift is part of a broader trend where international aid has increasingly retreated from disaster situations, except for mega-disasters, due to the resilience paradigm (Hilhorst 2018). The interplay of donor funding with local input can constrain community agency and foster competition, affecting resource distribution and power dynamics within movements (Dhanani et al. 2026; Ahmad et al. 2016). This is compounded by the focus on technical and measurable outcomes, which aligns interventions with broader international agendas but may not always reflect local priorities (Dhanani et al. 2026).

Moreover, the persistence of substantialism in international aid, which emphasizes justifying aid expenditure through solvable problems, continues to influence decision-making authority and resource control (Eyben 2010). The Paris Declaration on Effective Aid emphasizes mechanisms within recipient countries for mutual assessments of progress, reflecting a focus on mechanisms over relations (Eyben 2010). However, the principal-agent theory of accountability embedded in international aid institutions often results in a focus on monitoring performance and compliance, affecting the distribution of decision-making authority and control over resources (Eyben 2008).

The humanitarian sector's emphasis on the mechanics of delivery through local actors has been challenged by the growing role of diaspora communities in crisis response, facilitated by digital technology, which increases their capacity to organize and advocate (Wall et al. 2016). Additionally, the European Commission's response to the refugee crisis has been criticized for exacerbating the situation rather than resolving it, highlighting the moral

complexities in humanitarian aid (Aloudat et al. 2022).

Finally, the lack of comprehensive evidence on donors' efforts to sanction corruption and recover illegally acquired assets in partner countries indicates a gap in accountability and governance within the aid system (OECD 2012). These insights collectively underscore the complexity and multifaceted nature of aid distribution and its implications for global governance. The historical and contemporary dynamics of international aid are shaped by various factors, including the influence of liberal internationalism, governance structures, and the evolving role of donor and recipient countries (Alesina et al. 2000; Arndt et al. 2010; Barbalet 2018; Baumol et al. 2007; Bekker et al. 2018; Brainard 2007; Carati et al. 2025; Cook et al. 2023; Copeland et al. 2004; Esteva et al. 1998; Finkel et al. 2007; Gibson et al. 2005; Gingerich et al. 2015; Irwin 2024_7; Khan 2003; Krueger 1990; Lancaster 2008_2; Landau et al. 2017; Maass 2023; Mandaville 2017; McKechnie et al. 2012; Meernik et al. 1998; Ottersen et al. 2014; Patel et al. 2018; Peake 2016; Riddell 2008; Rose 2019; Rostow et al. 1960; Selenica 2022; Slim 2021; True 2012; Tuck et al. 2012; Walcher 2017; Whiteside 2010; World Bank 1986).

How and why has political economy of the US foreign assistance system changed over the following overlapping historical periods:

- 1) post world war II reconstruction, development and decolonization**
- 2) Cold war developmentism**
- 3) Structural adjustment and the debt crisis**
- 4) post 1990 liberal internationalism and governance**
- 5) post 9/11 securitization**
- 6) post 2015 sustainable development**

Political economy should be understood broadly to include a wide range of political concerns and economic interests such that the motivations for the structure of the aid system are the object of analysis.

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Question Overview

The political economy of the US foreign assistance system has evolved significantly across six historical periods, each reflecting distinct geopolitical and economic priorities. Post-World War II, aid was driven by reconstruction and decolonization, with the Marshall Plan exemplifying efforts to stabilize economies and counter Soviet influence. During the Cold War, aid was strategically used to promote capitalism and democracy, often prioritizing security over development. The structural adjustment era saw a shift towards neoliberal

policies, emphasizing market liberalization and fiscal discipline in response to the debt crisis. Post-1990, liberal internationalism focused on democratization and market liberalization, while post-9/11 securitization prioritized national security and counterterrorism, reshaping aid allocation. The post-2015 era emphasizes sustainable development, integrating private sector involvement and responding to geopolitical competition, particularly with China, reflecting a complex interplay of economic growth, environmental sustainability, and strategic interests.

Post-World War II Reconstruction and Decolonization

The post-World War II era heralded a transformative phase in the US foreign assistance system, driven by the dual objectives of economic reconstruction and geopolitical influence (Abreu 1985; Adler-Nissen 2014; Barkawi et al. 2006; Baumol et al. 2007; Berger 2013; Dalby 2017; Dibeh 2010; Easterly 2007_2; Fisher-Onar et al. 2022; Gupta et al. 2015; Haggard et al. 1987; IRWIN 2024_1; Irwin 2024_1; Irwin 2024_6; Karakaya 2023; Lancaster 2008_1; Lancaster 2008_2; Lee 2022; Mandaville 2017; Martins 2009; McKechnie et al. 2012; Mearsheimer 2019; Nivola 1997; Rampton et al. 2017; Rostow et al. 1960; Selchow et al. 2024; Sewell et al. 2017; Smith 1990_1; Smith 1990_2; Truman 1949; Ullah et al. 2025; Wade 2018; Walcher 2017; World Bank 1989; Zwingel 2019). Central to this transformation was the Marshall Plan, which allocated approximately \$13 billion to the reconstruction of Western Europe, thereby stabilizing economies and countering Soviet influence (Moyo 2010; Garrett 2009; Sharma 2026). The success of the Marshall Plan fostered optimism about the transformative potential of aid, shaping subsequent policies (Ranis 2007; Brainard 2007). The Bretton Woods Conference of 1944 further established a global financial system focused on economic cooperation and stability, anticipating the need for substantial aid to restore European stability (Moyo 2010; Cook et al. 2023).

This period also saw the integration of American voluntary aid organizations, which broadened the scope of aid beyond governmental channels (Irwin 2024_7). The Foreign Assistance Act of 1961 was a pivotal development, consolidating various programs and setting goals such as poverty alleviation and economic growth, reflecting the US's commitment to integrating developing countries into a fair international economic system (Garrett 2009; Carcelli 2024). The establishment of USAID under President Kennedy marked a strategic shift towards addressing the needs of developing countries (Endam Mbah et al. 2025).

Geopolitical concerns, particularly the containment of communism, significantly influenced US foreign aid strategies. Aid was employed as a tool for political and economic stabilization, aimed at strengthening allies against Soviet influence (Vatter et al. 1995; Riaao-Rodrriguez 2014). This strategic use of aid was evident in the US's involvement in the United Nations Relief and Rehabilitation Administration and the establishment of global health agencies to bolster its international standing (Duggan et al. 2025; Irwin 2024_7). The US played a dominant role in the UNRRA, contributing significantly to its expenditures and leadership (Irwin 2024_7).

The era also witnessed a shift in the political economy of aid, emphasizing state-directed investment and infrastructure development to promote industrialization and economic growth (Easterly 2007_1; Walt et al. 1994). The concept of GDP, which gained international prominence as the UN established Systems of National Accounts, underscored the era's focus on economic metrics (Cook et al. 2023). However, the effectiveness of these strategies in achieving sustained growth was questionable, as indicated by the gradual decline in foreign aid as a percentage of US GDP over subsequent decades (Tarnoff 2018).

Moreover, the post-war period marked the beginning of significant global scientific collaborations, such as the establishment of the Centers for Disease Control and Prevention and the Fogarty International Center, which facilitated mutual benefits and enhanced US influence (Duggan et al. 2025). The period was characterized by optimism about aid interventions, particularly as many African countries emerged from colonial rule without mobilized resources (Whiteside 2010).

In summary, the post-World War II reconstruction and decolonization period laid the groundwork for future US foreign assistance strategies, reflecting broader geopolitical and economic shifts in the international order. The US's role as a leading donor in net disbursements of economic aid since World War II, with the exception of a brief period between 1989 and 2001, underscores its enduring influence in global aid dynamics (Tarnoff 2018).

Cold War Developmentism

During the Cold War, the United States strategically utilized foreign assistance as a tool to counter Soviet influence, embedding its aid policies within the broader geopolitical competition that emphasized the ideological promotion of capitalism and democracy (Adler-Nissen 2014; Bate 2007; Baumol et al. 2007; Brainard 2007; Carcelli 2024; Dalby 2017; Fisher-Onar et al. 2022; Gupta et al. 2015; Hybel 2014; Karakaya 2023; Lancaster 2008_1; Rampton et al. 2017; Riaao-Rodrriguez 2014; Tarnoff 2018; Ullah et al. 2025). Building on the foundations laid in the post-World War II era, institutions such as USAID and the Peace Corps were established to further US interests globally (Garrett 2009; Sharma 2026). Aid was strategically deployed to secure alliances and exert influence in key regions, including Asia, Africa, and Latin America, where security and political objectives often took precedence over developmental goals (Irwin 2024_1; Sewell et al. 2017; Irwin 2024_2; Irwin 2024_7; Smith 1990_1; Smith 1990_2). This period was marked by a focus on modernization and technological advancement, with substantial investments in infrastructure and industrial projects in developing countries (Moyo 2010; Berger 2013).

The political economy of US foreign assistance during the Cold War was significantly shaped by the imperative to contain communism, leading to alliances with non-communist regimes, including authoritarian ones, if they aligned with US geopolitical interests (Mearsheimer 2019; Lee 2022; Cook et al. 2023; Duggan et al. 2025; Irwin 2024_6; Mandaville 2017;

Selchow et al. 2024). This strategic alignment often meant supporting regimes based on their geopolitical utility rather than their democratic credentials (Mearsheimer 2019). Aid allocation was heavily influenced by security concerns, with significant resources directed towards countries deemed pivotal in the Cold War, such as those in the Middle East and Southeast Asia (Sewell et al. 2017; Khadka 1997; Gibson et al. 2005; Karakaya 2023; Lanati 2019; Nivola 1997; Orr 1989; Rostow et al. 1960; Walcher 2017).

Throughout this era, US foreign assistance also aimed to foster economic development as a counterbalance to Soviet influence, with aid programs often linked to strategic objectives like securing military bases or resource access (Sewell et al. 2017; Clapp 2013). However, the decline of US hegemonic power in the 1970s and 1980s prompted a reevaluation of aid strategies, shifting focus towards addressing basic human needs and improving income distribution in the poorest nations (Easterly 2007_1; Meernik et al. 1998). This period also saw the internalization of political crises within unstable regions, marking a shift in the political economy of US foreign assistance (Duffield 1997).

USAID's role during the Cold War was pivotal in the US's strategic success against the Soviet Union, reflecting a shift in the political economy of foreign assistance towards geopolitical competition (Endam Mbah et al. 2025). The systemic approach, emphasizing security concerns, offers a compelling explanation of state behavior during this period (Meernik et al. 1998). The entry of newly independent southern nations into the UN in the 1960s and 1970s catalyzed efforts to integrate development and human rights (Cornwall et al. 2004). By the late 1980s, the socio-economic fabric of African society had internalized emergency conditions, creating a complex moral landscape of winners and losers (Duffield 2012). The debts incurred to finance investments from the 1950s through the 1970s proved unsustainable, culminating in debt crises during the 1980s (Easterly 2007_2).

Structural Adjustment and Debt Crisis

The structural adjustment and debt crisis period of the 1980s and 1990s marked a significant transformation in the political economy of US foreign assistance, characterized by the ascendancy of neoliberal economic policies (Escobar 2011; Gupta et al. 2015; Karakaya 2023; Lancaster 2008_1; Ottersen et al. 2014; Ullah et al. 2025). This era was defined by the implementation of structural adjustment programs (SAPs) spearheaded by Bretton Woods institutions, which prioritized market liberalization, reduced state intervention, and fiscal discipline (Cook et al. 2023; Easterly 2007_1; Moyo 2010; Walt et al. 1994). The debt crisis, a consequence of unmanageable debts accumulated in previous decades, necessitated these adjustments (Easterly 2007_2; World Bank 1986). The introduction of structural adjustment lending by the IMF and World Bank in 1979-80 marked a concrete policy shift, reflecting a broader neoliberal paradigm that emphasized macroeconomic stability and free-market policies (Easterly 2007_1; Moyo 2010; Berger 2013). Influenced by the Chicago School of Economics and political leaders like Ronald Reagan and Margaret Thatcher, this shift advocated for trade liberalization, privatization, and deregulation (Moyo 2010; Berger 2013).

Critics of SAPs pointed to issues such as 'endless rounds of debt rescheduling' and the adverse effects on democracy and sovereignty, prompting a reevaluation of these policies by the century's end (Easterly 2007_1; McKechnie et al. 2012). The neoliberal approach emerged as a response to perceived inefficiencies in public sectors and the need for economic reforms to enhance private sector incentives and macroeconomic stability (Easterly 2007_1; Walt et al. 1994). Economic performance during this period was uneven, with industrial countries experiencing growth while regions like Africa and Latin America faced economic decline (World Bank 1989). The debt crisis led to a reduction in net capital flows to developing countries, compelling reliance on domestic savings for investment (World Bank 1989). Despite the focus on economic growth and policy reforms, the effectiveness of these strategies in achieving sustained development remained questionable, with persistent issues of debt and limited growth in recipient countries (Easterly 2007_2; Ranis 2007).

During the 1980s, the World Bank's share of adjustment-related lending averaged between 20 and 25 percent of its total disbursements, underscoring the scale of these programs (Moyo 2010). The IMF established the Structural Adjustment Facility to lend money to defaulting nations during the debt crisis, further institutionalizing these policies (Moyo 2010). The global economic environment of the 1970s, marked by the oil price surge, led to increased lending to developing countries and a shift towards a poverty-based approach to development (Moyo 2010). However, the subsequent economic turmoil necessitated a shift in focus towards structural adjustment in the 1980s (Moyo 2010).

The political economy of US foreign assistance during this period was also shaped by broader geopolitical and economic interests, reflecting a shift from state-directed investment to market-oriented reforms (Easterly 2007_2; Cook et al. 2023). The Reagan administration encouraged Third World governments to liberalize trade, privatize public sectors, and deregulate financial sectors, supported by the IMF and World Bank (Berger 2013). This period also saw the US-led globalization project challenge the emphasis on restructuring the world economy to address the North-South divide, displacing the UN-sponsored idea of a New International Economic Order (Berger 2013).

The debt crisis of the 1980s was exacerbated by higher real interest rates, reduced international capital flows, and lower commodity prices, making adjustment necessary and difficult for highly indebted countries (World Bank 1989). Many developing countries faced a decline in net capital flows, forcing governments to slow the growth in imports (World Bank 1986). The monetary and fiscal policy mix pursued by industrial countries after 1979 drove interest rates up while export prices for many developing countries declined, complicating stabilization and adjustment efforts (World Bank 1986). The resolution of widespread macroeconomic crises led to a deep rethinking about the IMF and World Bank approach to stabilization and structural adjustment programs (Brainard 2007).

Throughout this period, the political economy of US foreign assistance evolved to align with broader geopolitical and economic interests, reflecting changing global dynamics and US strategic priorities (Mandaville 2017; Selchow et al. 2024; Carcelli 2024; Duggan et al. 2025; Irwin 2024_6; Lancaster 2008_1; Tarnoff 2018). The shift from neoliberal policies in the 1980s and 1990s to a focus on inclusive and sustainable growth post-2015 reflects a response to critiques of structural adjustment programs and the need for a more equitable distribution of growth benefits (Cook et al. 2023).

Post-1990 Liberal Internationalism and Governance

In the post-1990 era, the United States' foreign assistance strategy underwent a significant transformation, aligning with the principles of liberal internationalism. This period was marked by a pronounced shift towards democratization, market liberalization, and a move from multilateralism to a more unilateral approach (Adler-Nissen 2014; Baumol et al. 2007; Berger 2013; Brainard 2007; Bräutigam et al. 2004; Cook et al. 2023; Copeland et al. 2004; Dalby 2017; Finkel et al. 2007; Garrett 2009; Gibson et al. 2005; Khadka 1997; Lancaster 2008_1; Lancaster 2008_2; Moyo 2010; Riaao-Rodrriguez 2014; Simmons et al. 2004; Walt et al. 1994). Following the Cold War, the geopolitical motivations for aid diminished, resulting in a reduction of official development assistance (Kabeer 2015; Meernik et al. 1998). However, the focus shifted towards fostering democracy, economic liberalism, and the private sector as key components of development (Sullivan 1996; Meernik et al. 1998). Domestic political factors, such as party heterogeneity and divided government, influenced the political economy of aid, leading to fragmented aid programs (Carcelli 2024). The Clinton administration's emphasis on performance measurement and economic liberalization continued the neoliberal policies of previous administrations (Natsios 2011). Despite cuts in foreign aid budgets, there was a notable increase in humanitarian funding and the involvement of NGOs, reflecting a trend towards privatization and decentralization (Duffield 2012; Clapp 2013).

Regionally, the focus of aid shifted, with Eastern Europe and Central Asia becoming testing grounds for neoliberal policies, often resulting in social regressions (True 2012). The US aimed to transform former communist nations into democratic societies with market-oriented economies (Tarnoff 2018). The rise of non-traditional donors like China further complicated the political economy of aid, challenging the US-led aid architecture (Ullah et al. 2025). The liberal international order faced challenges from hyperglobalization, which led to economic instability and rising inequality, undermining its legitimacy (Mearsheimer 2019). The US foreign assistance system adapted by emphasizing burden sharing with allied donors and leveraging multilateral development banks to maintain global leadership (US Global Leadership Coalition 2025; Fisher-Onar et al. 2022; Karakaya 2023).

During this period, there was a growing emphasis on the quality of government institutions, such as democratic accountability and control of corruption, as prerequisites for aid effectiveness (Easterly 2007_1). The issuance of the first non-military US sovereign loan guarantee in 1990 under the new FCRA rules marked a shift in the political economy of aid

(Morris et al. 2023). The political economy of US foreign assistance also transitioned from convergence-based development models to separate development paradigms, influenced by global economic polarization and regionalization (Duffield 1997). The Kosovo intervention represented a pivotal moment, signaling a shift towards a more assertive US foreign policy, diverging from the established post-Cold War practices (Onea 2013_2).

Overall, the post-1990 period reflects a complex interplay of liberal ideals, domestic political pressures, and global economic shifts, shaping the political economy of the US foreign assistance system (Hilhorst 2018; Hindery et al. 2008; Irwin 2024_6; Mandaville 2017; Rose 2019; Witt 2019). The evolution of US foreign assistance from Cold War objectives and market expansion to a more fragmented system with competing interests is evident in initiatives like PEPFAR and the Millennium Challenge Account, which operate independently of USAID, highlighting a shift towards specialized, issue-specific aid programs (Bate 2007; Easterly 2007_2; Gupta et al. 2015; Nivola 1997). The political economy of US foreign assistance has been shaped by a mutually constitutive relationship between development discourse and international organizations, influencing the international economic order across different historical periods (Selchow et al. 2024; Gulrajani 2022; Kumar et al. 2025).

Post-9/11 Securitization

The post-9/11 era marked a pivotal shift in the U.S. foreign assistance framework, characterized by a pronounced emphasis on security and counterterrorism, which significantly influenced aid distribution and strategic priorities (Garrett 2009; Tarnoff 2018; Brainard 2007; Adler-Nissen 2014; Barkawi et al. 2006; Berger 2013). This period witnessed a notable increase in military aid, with the Department of Defense assuming a central role, reflecting a prioritization of national security over traditional development objectives (Garrett 2009; Tarnoff 2018). The Global Fragility Act and related strategies highlighted this focus, addressing issues such as migration and civil unrest as national security threats (US Global Leadership Coalition 2025). Countries like Iraq, Afghanistan, and Pakistan received substantial support due to their strategic importance in the U.S. counterterrorism agenda (Tarnoff 2018; Lundsgaarde 2014).

The political economy of aid evolved, framing development as a crucial component of national security alongside defense and diplomacy, as articulated in the national security strategies of the Bush and Obama administrations (Tarnoff 2018; Brainard 2007; Bate 2007; Duffield 1997; Hindery et al. 2008). Initiatives such as the Millennium Challenge Corporation and PEPFAR emerged, reflecting a trend towards performance-based aid and health security (Tarnoff 2018; Brainard 2007; Lancaster 2008_2; Ranis 2007). However, this security focus often overshadowed longer-term development goals, with aid increasingly tied to measurable outcomes and strategic interests (Garrett 2009; Brainard 2007).

The U.S. foreign assistance system preferred to operate independently, persuading bilateral

partners to accept funds directed at targets determined in Washington (Garrett 2009). In March 2005, proposals aimed to enhance U.S. foreign aid architecture, including better coordination of USAID and State Department budgeting decisions and recentralization of aid programs into USAID (Natsios 2011). The Trump Administration's National Security Strategy emphasized that aid must support U.S. national interests, though it did not explicitly address development's status relative to diplomacy and defense (Tarnoff 2018; Carati et al. 2025; Karakaya 2023). DOD-funded programs in Iraq and Afghanistan, aimed at training and equipping foreign forces, often surpassed traditional military and development assistance programs in size (Tarnoff 2018; Gulick 2011; Martins 2009).

The post-9/11 era also saw a reorientation towards fragile states, integrating development, diplomatic, and security strategies to address state fragility and its associated risks (Rose 2019; Baumol et al. 2007; Mearsheimer 2019). This approach was part of a broader geopolitical strategy, as the rise of China and other middle-income countries pressured traditional donors to align aid with national interests, shifting the focus from aid effectiveness to geopolitical competition (Gulrajani 2022; Ingram et al. 2025). Consequently, U.S. foreign assistance during this period was characterized by a transactional approach, prioritizing geopolitical interests and domestic needs over sustainable development (Sabow et al. 2025).

The political economy of U.S. foreign assistance evolved from post-WWII reconstruction efforts to Cold War anti-communism, then to post-9/11 securitization, with each phase reflecting shifts in geopolitical priorities and influencing recipient countries' political agendas (Riaao-Rodrriguez 2014). The focus on counter-terrorism and security led to a neglect of strategic responses to the rise of large middle-income countries like China and India, impacting the political economy by shifting attention away from significant global economic changes (Norton 2011). The U.S. administration's response to postconflict challenges in Afghanistan was modest compared to the transformation proposed for Iraq, which was comparable in scope to efforts in Kosovo and in scale to post-World War II Japan and Germany (Brainard 2007). In 2001, US President George W. Bush reinstated the Global Gag Rule, known at that time as the Mexico City Policy, which put women's lives at risk by blocking USAID from supporting organizations that provide information on comprehensive reproductive rights and health (Sharma 2026).

The post-9/11 securitization period also saw a shift in rhetoric and policy, with U.S. foreign policy increasingly focusing on counterterrorism, promoting open political systems, and broader economic opportunities as strategies against terrorism (Brainard 2007; Fernando 2015; Selenica 2022). The Bush administration's global War on Terror aimed to eliminate opposition to liberal rule, seen as essential to the success of American-led modernity (Dalby 2017). The Obama administration's foreign policy agenda was characterized by a 'reset' approach, similar to the model of restraint used by George H. W. Bush and Clinton, which involved reducing assertive foreign policy measures due to economic constraints (Onea 2013_1).

Overall, the post-9/11 securitization of U.S. foreign assistance reflects a broader shift in the political economy, where aid is increasingly used as a tool for geopolitical influence, aligning with strategic interests and national security priorities (Ullah et al. 2025; Carcelli 2024). This transformation underscores the complex interplay between development, security, and foreign policy in shaping U.S. foreign assistance strategies.

Post-2015 Sustainable Development

The post-2015 era in the political economy of US foreign assistance is marked by a significant transformation, characterized by the integration of private sector involvement and public-private partnerships. This shift is rooted in the 2015 Addis Ababa Action Agenda, which emphasized the critical role of private finance in achieving the Sustainable Development Goals (Attridge et al. 2026). This period reflects a broader post-aid paradigm that prioritizes economic growth and geopolitical competition, particularly in response to the rising influence of China (US Global Leadership Coalition 2025; Gulrajani 2022). The concept of 'green' or 'sustainable' growth has gained prominence, aiming to balance economic development with environmental sustainability, as underscored by the 2012 Rio+20 Conference (Cook et al. 2023).

Geopolitical dynamics have significantly influenced this shift, with the rise of China and Russia marking the end of the unipolar era and fostering a multipolar world order (Mearsheimer 2019). This has led to a strategic realignment of aid, focusing on geopolitical interests and domestic needs, such as support for Ukraine and addressing refugee crises (Sabow et al. 2025; Endam Mbah et al. 2025). As noted in earlier sections, the US foreign assistance system has increasingly aligned with national security interests, integrating development, diplomatic, and security strategies to address state fragility and geopolitical competition (Rose 2019; US Global Leadership Coalition 2025; Hindery et al. 2008).

The Trump administration's 'America First' policy exemplified a transactional approach to foreign aid, prioritizing economic and military power over local development priorities (Ingram et al. 2025; Women's Refugee Commission 2026). This approach has been critiqued for undermining multilateral cooperation and shifting focus from aid effectiveness to geopolitical competition (Karakaya 2023; Gulrajani 2022). Despite these challenges, the US remains a leading donor in dollar terms, although its aid as a percentage of GNI lags behind other nations (Tarnoff 2018). Since 2018, total Official Development Assistance (ODA) has increased by 6 percent year over year, reaching \$275 billion in 2023, but remains below the United Nations' target of 0.7 percent of GNI (Sabow et al. 2025).

The emergence of non-traditional donors like China has reshaped the global aid landscape, challenging the traditional US-led aid architecture by emphasizing infrastructure and economic interests over institutional reform, reflecting a shift towards multipolar aid dynamics (Ullah et al. 2025). Public support for globalization has dropped in many economies since the early 2000s, with significant implications for the political economy of

US foreign assistance (Witt 2019). This era also sees a debate within the global development community about new sustainable development goals and the positioning of health, including universal health coverage, in such goals (Jamison et al. 2013). The political economy of US foreign assistance has evolved from a North-South donor-recipient model to a more complex, multistakeholder framework, reflecting broader geopolitical shifts and the rise of new global challenges such as climate change and inequality (Gulrajani 2022; Carcelli 2024; Duggan et al. 2025; Lancaster 2008_1; Mandaville 2017; Selchow et al. 2024).

Overall, the post-2015 era reflects a complex interplay of economic growth, environmental sustainability, and geopolitical strategy, reshaping the political economy of US foreign assistance in response to global challenges and shifting power dynamics (Cook et al. 2023; Mearsheimer 2019; Escobar 2011; Gupta et al. 2015; Kumar et al. 2025; McKechnie et al. 2012). The landscape of global health financing is undergoing major changes, with development assistance budgets strained despite a decade of rising aid for health (Jamison et al. 2013). The political economy of US foreign assistance continues to prioritize economic growth and corporate interests over comprehensive human rights and social justice (Kabeer 2015).